The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



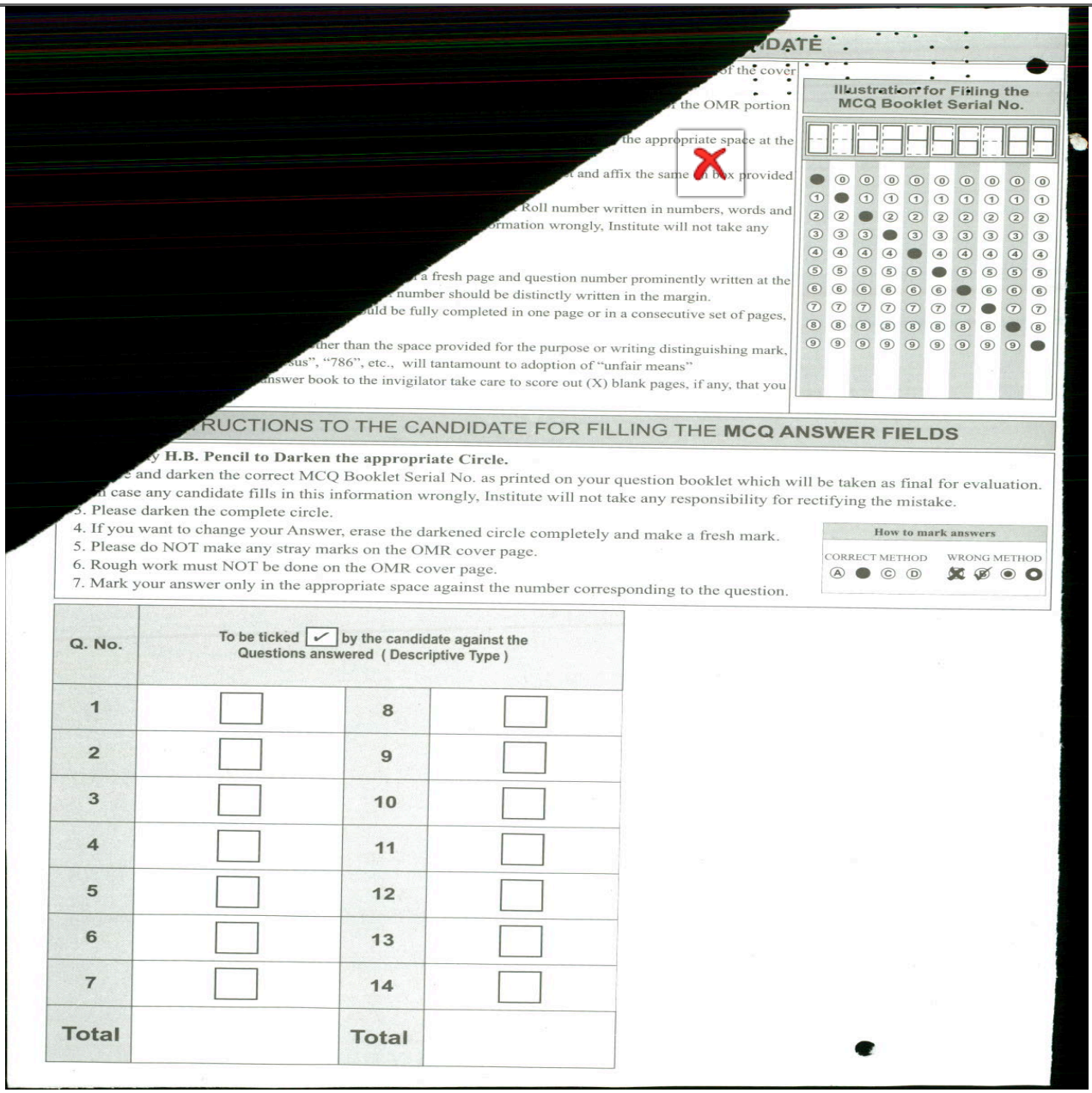
GRAPH PAPER IS ON THE PENULTIMATE PAGE
Book No. 1 (containing 28 pages)
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
Final Examination
Group No 1 Paper No 2
Subject AFM
Number of Answer Books used : Main + 5 additional sheets
Date Seal
For use by ICAI only
818322
04 MAY 2025
Paper Code: L M N 1
MCQ Booklet Serial No. 5122913
Paper No. 2
Level of Exam: Final (Foundation 1, Intermediate 2, Final)
MCQ Answers

1	D	11	A	21	
2	C	12	D	22	
3	B	13	C	23	
4	A	14	A	24	
5	B	15	C	25	
6	C	16	A	26	
7	B	17	C	27	
8	B	18	C	28	
9	C	19	C	29	
10	C	20	A	30	

Page 01

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



...DATE

...f the cover

...r the OMR portion

...the appropriate space at the

...t and affix the same in box provided

...Roll number written in numbers, words and

...ormation wrongly, Institute will not take any

...a fresh page and question number prominently written at the

...number should be distinctly written in the margin.

...uld be fully completed in one page or in a consecutive set of pages,

...ther than the space provided for the purpose or writing distinguishing mark,

...sus", "786", etc., will tantamount to adoption of "unfair means"

...nswer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.

...RUCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

...y **H.B. Pencil to Darken the appropriate Circle.**

...e and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

...n case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

5. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1		8	
2		9	
3		10	
4		11	
5		12	
6		13	
7		14	
Total		Total	

Page 02

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

03

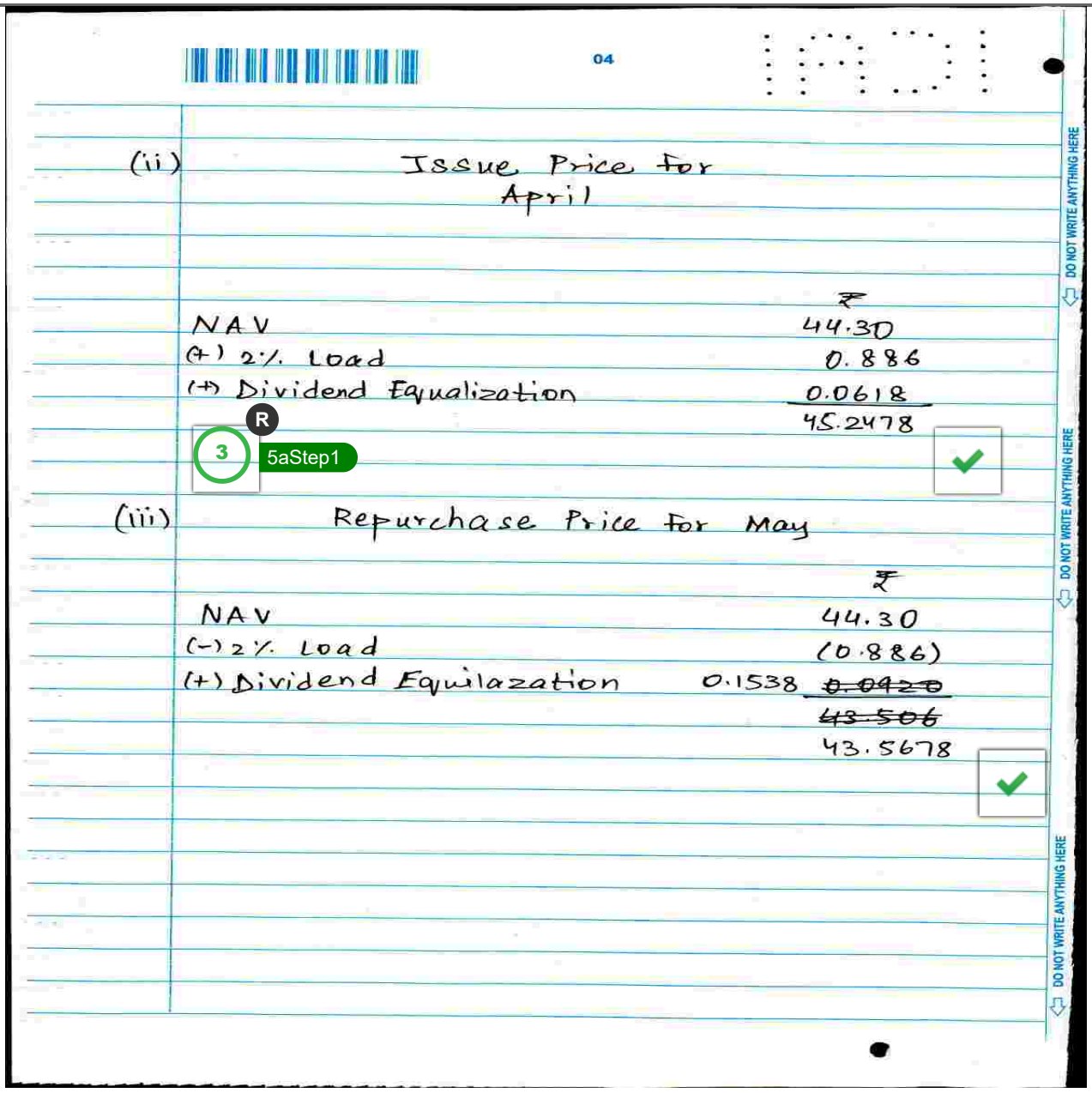
Answer - 5(a)

Q.5.
a.
(i) Income Available for Distribution

	Units (lakhs)	Income per Unit	Total Income (₹ lakh)
Income of April	800	0.0618	49.440
Issue of ~~shares~~ Units	16	0.0618	0.9888
	816	0.0618	50.4288
Income of May	816	0.0920	75.070
	816	0.1538	125.4988
~~Income of May~~	~~816~~	~~0.0920~~	~~75.070~~ (1.2304)
Repurchase	(8)	0.1538 ~~0.0920~~	~~(0.736)~~
	~~808~~	~~0.0920~~	~~74.334~~
	808	0.1538	124.2684
Income of June	808	0.1160	93.710
	808	~~0.2080~~	~~168.044~~
		0.2698	217.9784
~~(-) 60% Distributed~~	~~808~~	~~0.1248~~	~~(100.8264)~~
	~~808~~	~~0.0832~~	~~67.2176~~
(-) 60% Distributed	808	0.1619	(130.7870)
	808	0.1079	87.1914

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



04

(ii) Issue Price for April

	₹
NAV	44.30
(+) 2% Load	0.886
(+) Dividend Equalization	0.0618
	45.2478

R 3 5aStep1

(iii) Repurchase Price for May

	₹
NAV	44.30
(-) 2% Load	(0.886)
(+) Dividend Equilazation 0.1538	~~0.0420~~
	~~43.506~~
	43.5678

DO NOT WRITE ANYTHING HERE

Page 04

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

05

(iv) NAV on 30th June

	(₹ lakhs)
Opening Net Assets (800 lakhs × ₹ 44.30)	35,440
(+) Portfolio Appreciation	965.280
(+) Income of April	49.440
(+) Income of May	75.070
(+) Income of June	93.710
(+) Receipts on Issue (45.2478 × 16 lakhs)	723.9648
(-) Payment on Repurchase (~~43.506~~ 43.5678 × 8 lakhs)	~~(348.048)~~ (348.5424)
(-) Dividend	(130.7870) ~~(67.2176)~~
	36868.1354 ~~36932.1992~~
Units	808 lakhs
NAV	45.6289 ~~45.7082~~
	OR ✓ ~~or~~
	45.63 ~~45.71~~

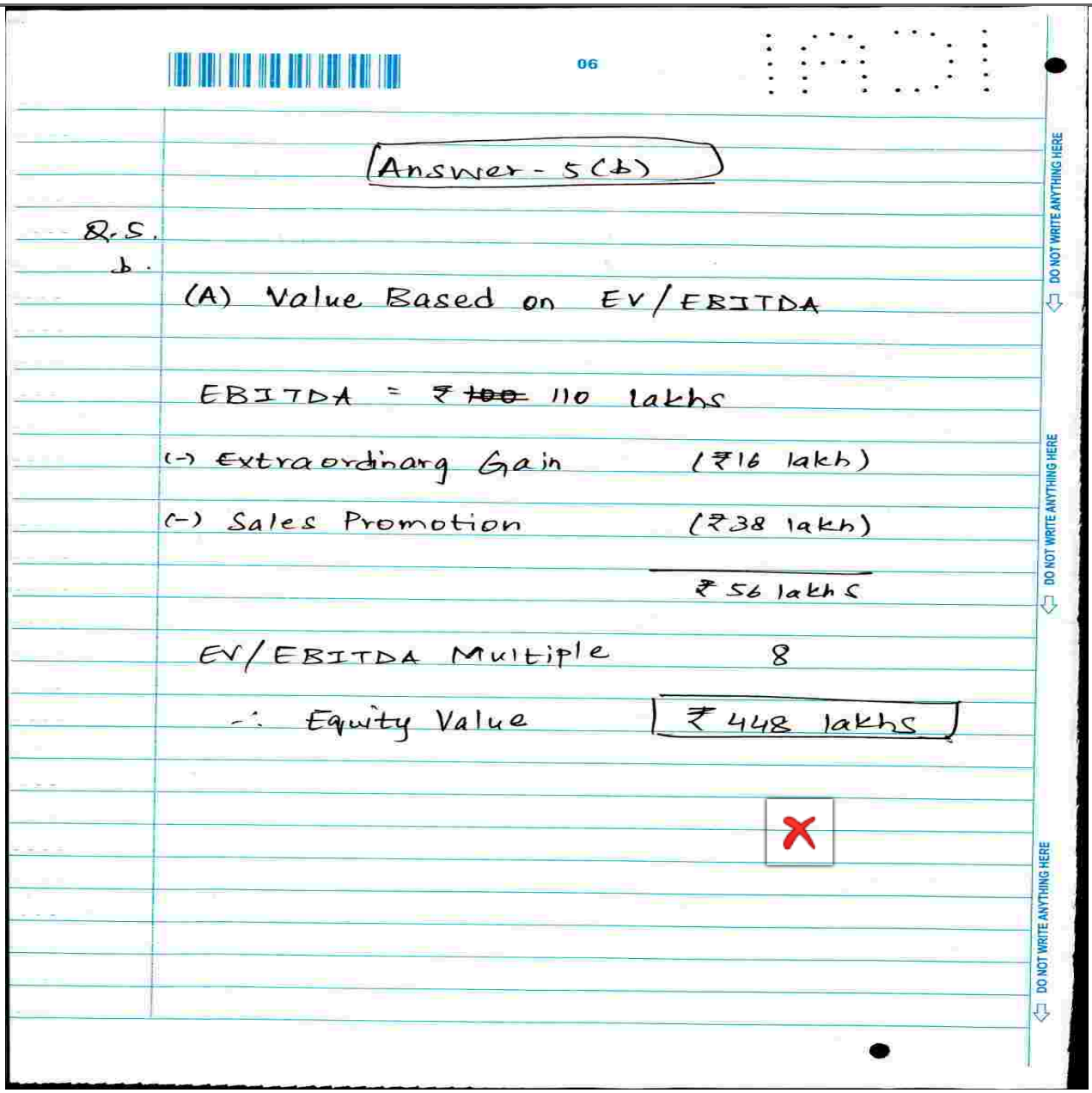
DO NOT WRITE ANYTHING HERE

R 4 5aStep2 R 5a

Page 05

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



06

Answer - 5 (b)

Q.5.
b.

(A) Value Based on EV/EBITDA

EBITDA = ₹ ~~100~~ 110 lakhs

(-) Extraordinary Gain (₹16 lakh)

(-) Sales Promotion (₹38 lakh)

₹ 56 lakhs

EV/EBITDA Multiple 8

∴ Equity Value ₹ 448 lakhs

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

07

DO NOT WRITE ANYTHING HERE

(B) Value based on DCF Model.

(i) Computation of Cost of Equity

Unlevered Beta = 1.5

$$\text{Levered Beta} = \text{Unlevered Beta}\left[\frac{\text{Debt} + \text{Equity (Post tax)}}{\text{Equity}}\right]$$

$$= 1.5\left[\frac{(0.3)(1-0.3)+0.7}{0.7}\right]$$

$$= 1.5\left(\frac{0.91}{0.7}\right)$$

$$= 1.95$$

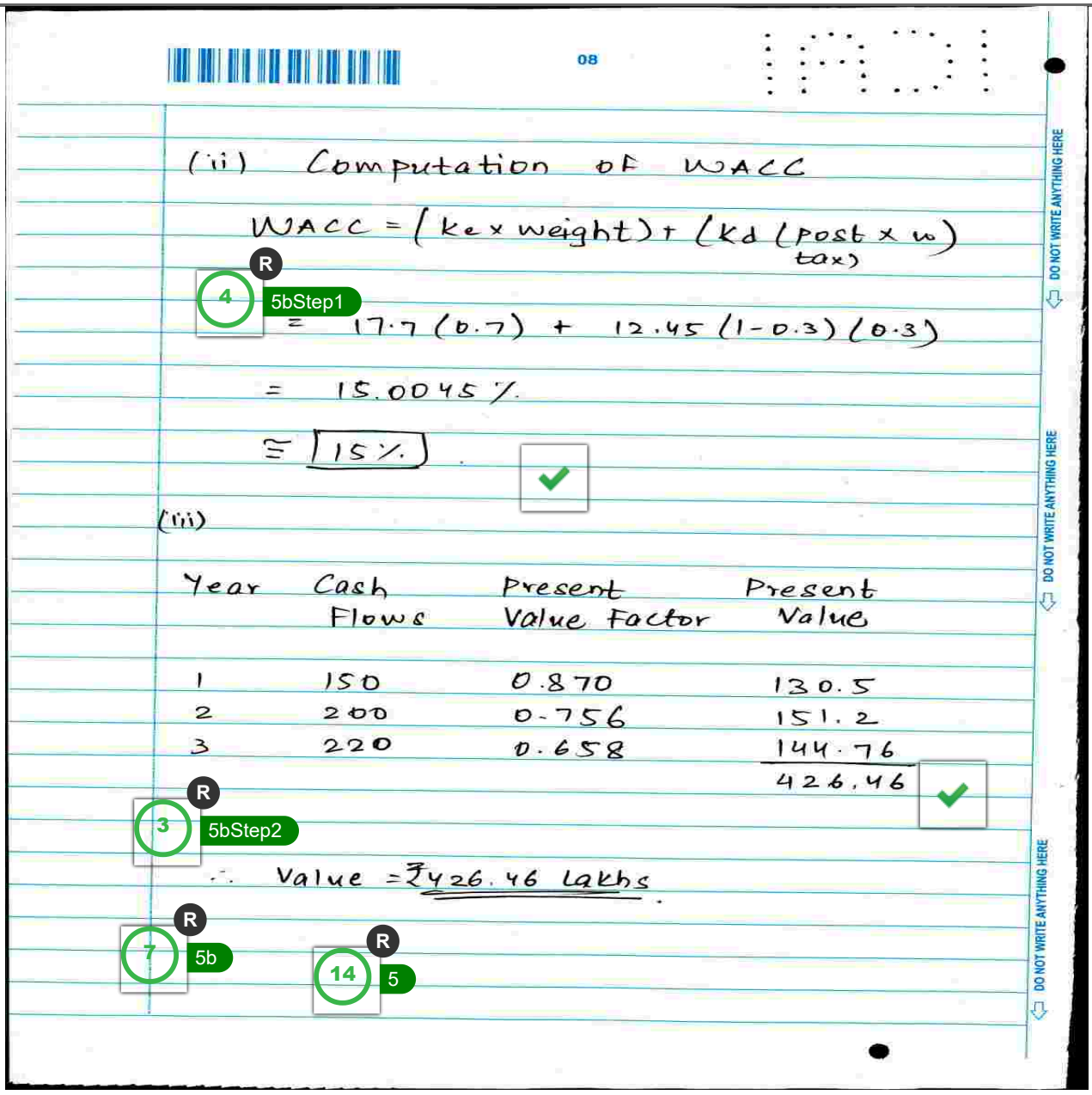
$$Ke = R_F + \beta(R_m - R_F)$$

$$= 6 + 1.95(12-6)$$

$$= 17.7\%.$$

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



08

(ii) Computation of WACC

WACC = (ke x weight) + (Kd (post tax) x w)

R 4 5bStep1

= 17.7 (0.7) + 12.45 (1-0.3) (0.3)

= 15.0045 %.

≅ 15%.

(iii)

Year	Cash Flows	Present Value Factor	Present Value
1	150	0.870	130.5
2	200	0.756	151.2
3	220	0.658	144.76
			426.46

R 3 5bStep2

∴ Value = ₹426.46 Lakhs.

R 7 5b

R 14 5

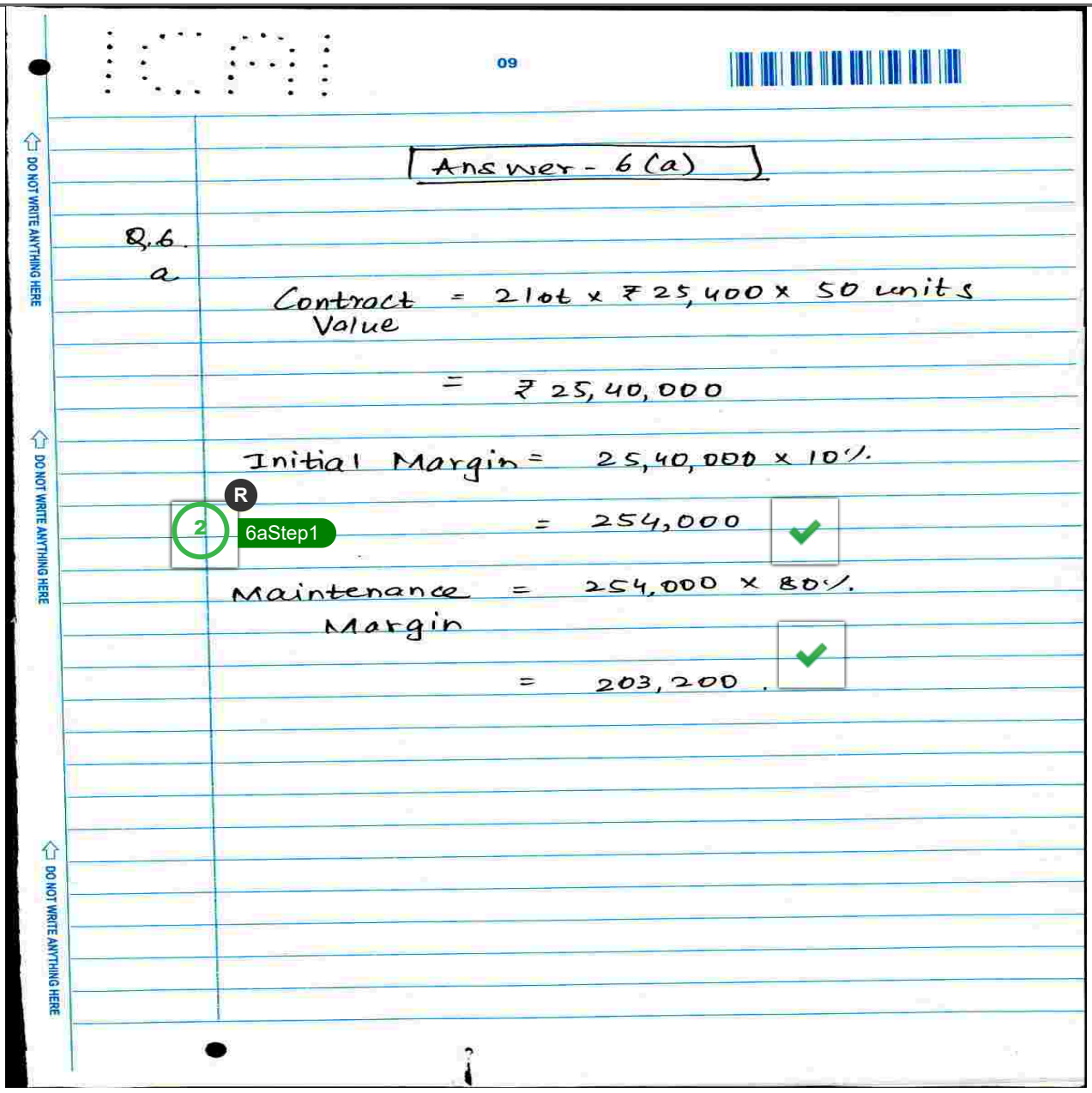
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



09

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

Answer - 6 (a)

Q.6.
a

Contract Value = 2 lot x ₹ 25,400 x 50 units

= ₹ 25,40,000

Initial Margin = 25,40,000 x 10%.

= 254,000

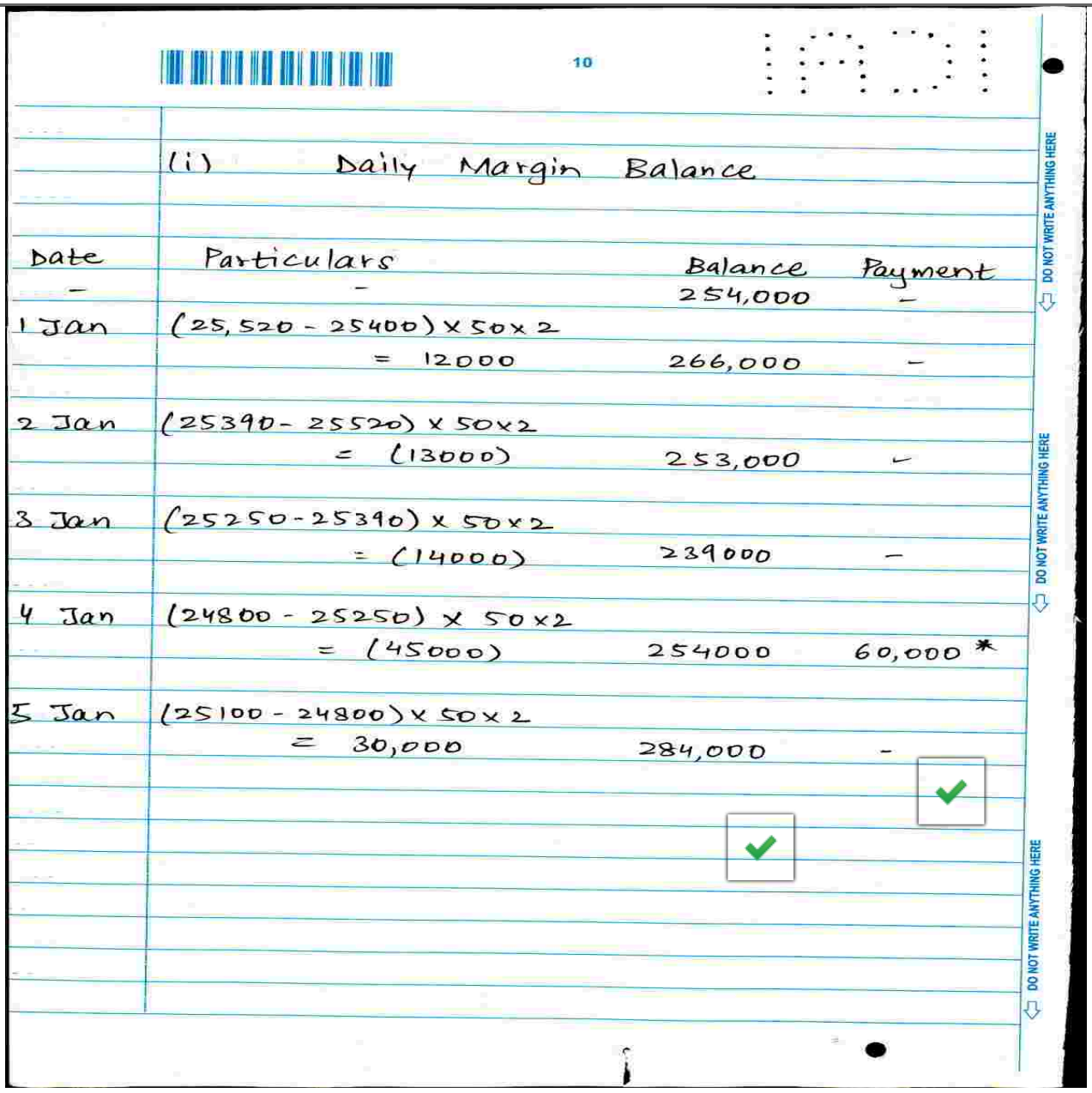
R 2 6aStep1

Maintenance Margin = 254,000 x 80%.

= 203,200.

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



10

(i) Daily Margin Balance

Date	Particulars	Balance	Payment
-	-	254,000	-
1 Jan	(25,520 - 25400) x 50 x 2 = 12000	266,000	-
2 Jan	(25390 - 25520) x 50 x 2 = (13000)	253,000	-
3 Jan	(25250 - 25390) x 50 x 2 = (14000)	239000	-
4 Jan	(24800 - 25250) x 50 x 2 = (45000)	254000	60,000 *
5 Jan	(25100 - 24800) x 50 x 2 = 30,000	284,000	-

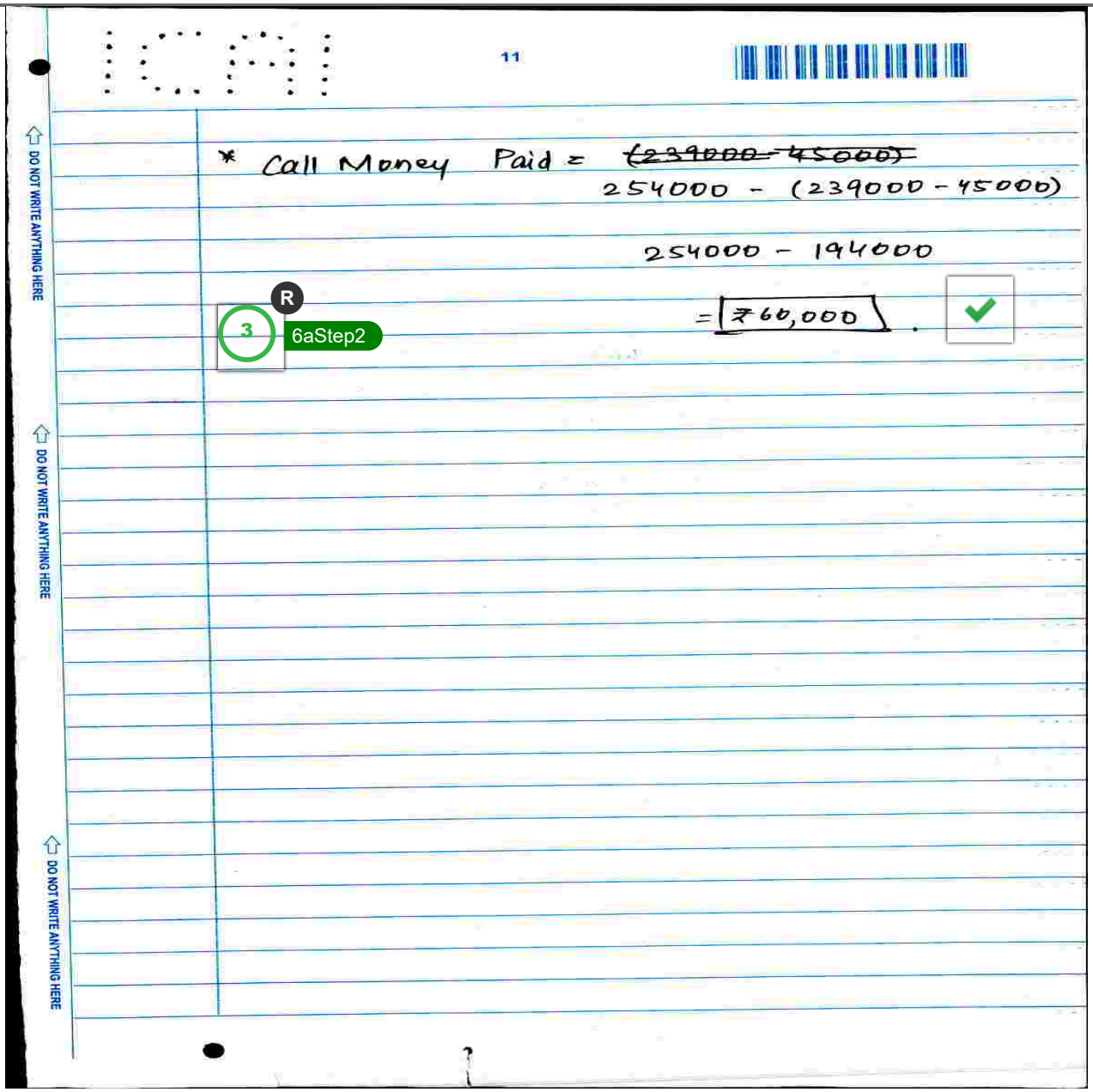
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

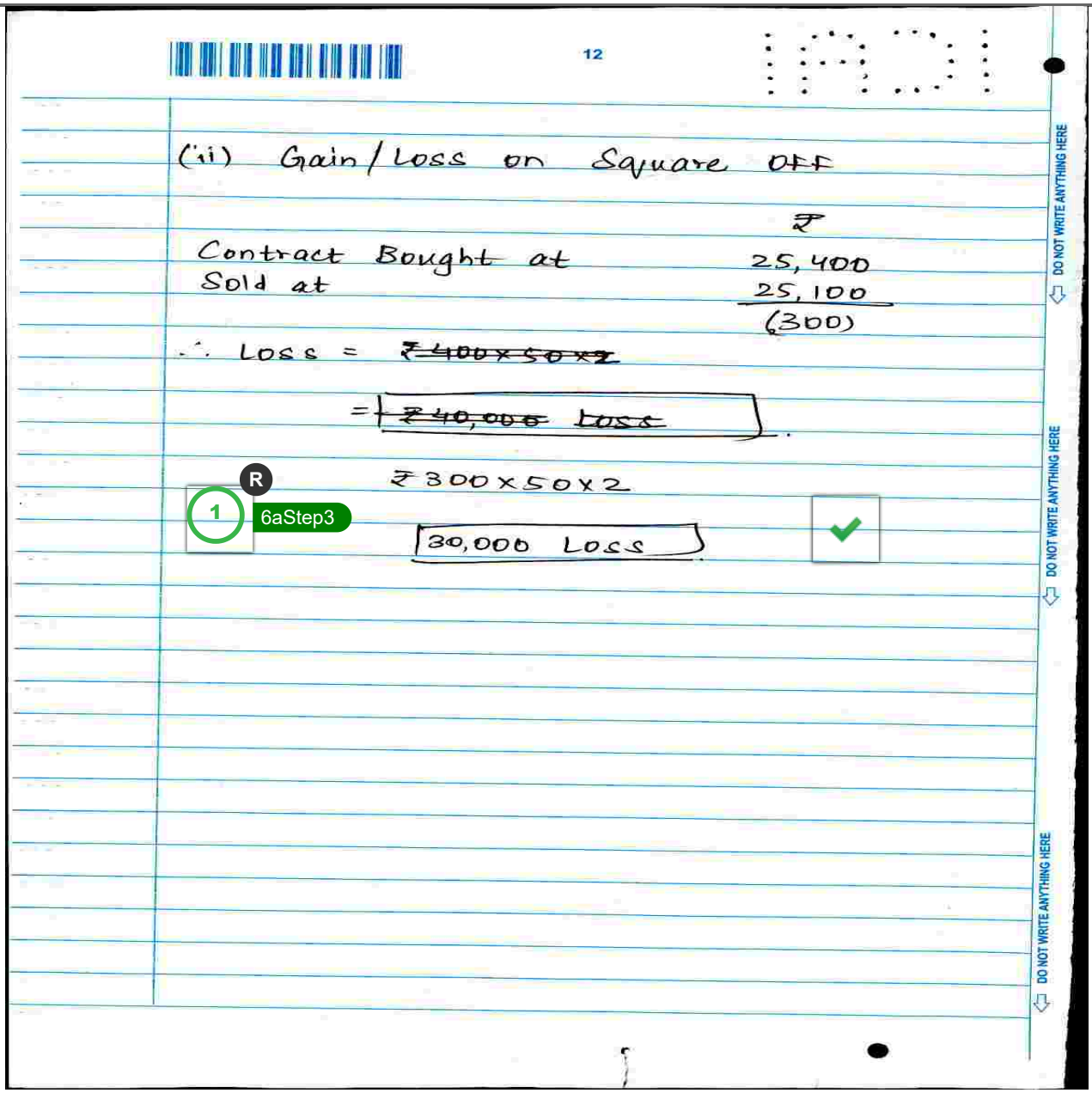
The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



12

(ii) Gain / Loss on Square Off

Contract	Bought at	Sold at
	₹ 25,400	25,100
		(300)

∴ Loss = ~~₹400 × 50 × 2~~

= ~~₹40,000 Loss~~

R

1 6aStep3

₹300 × 50 × 2

30,000 Loss

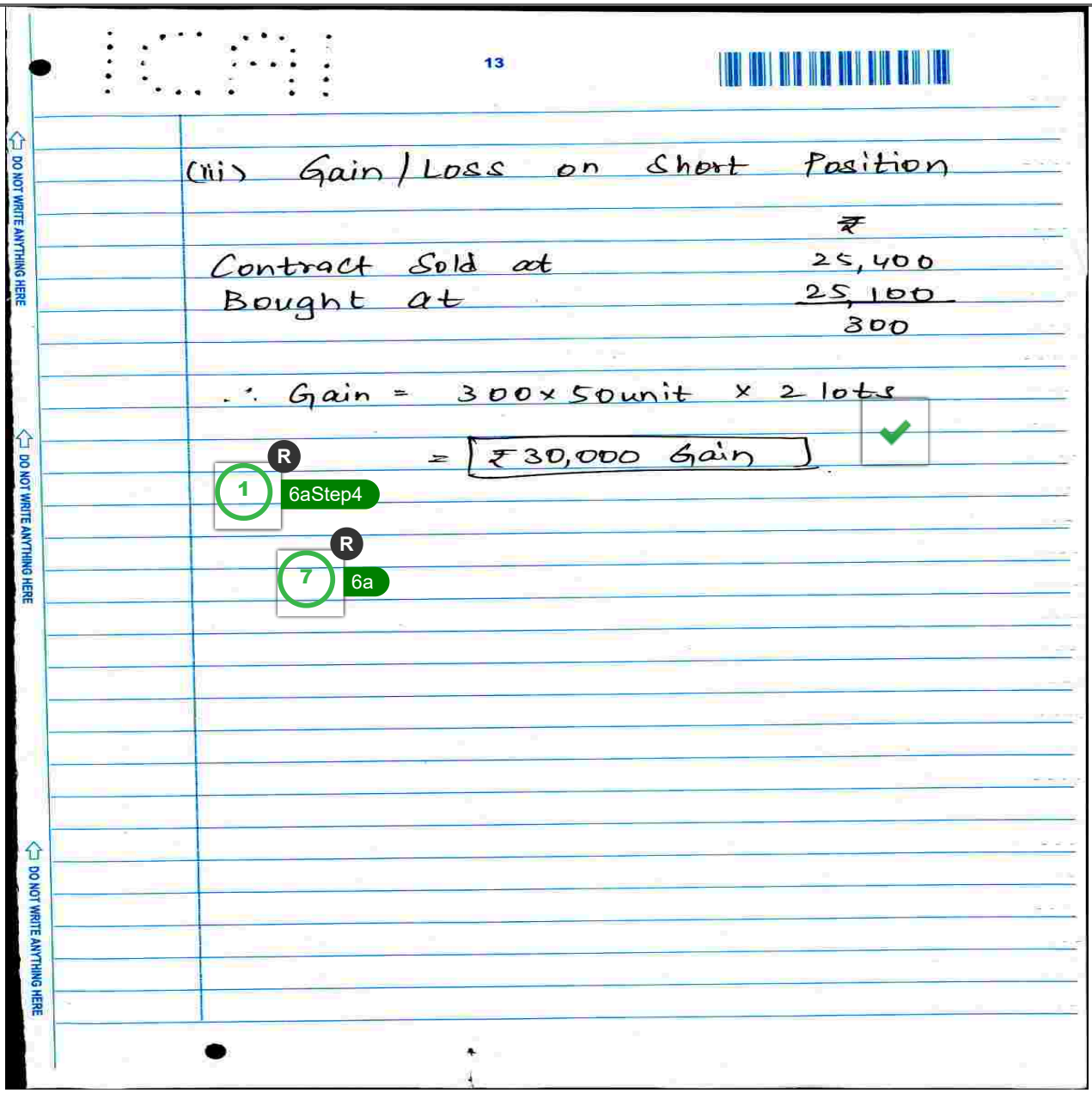
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



13

DO NOT WRITE ANYTHING HERE

(iii) Gain / Loss on Short Position

	₹
Contract Sold at	25,400
Bought at	25,100
	300

∴ Gain = 300 × 50 unit × 2 lots

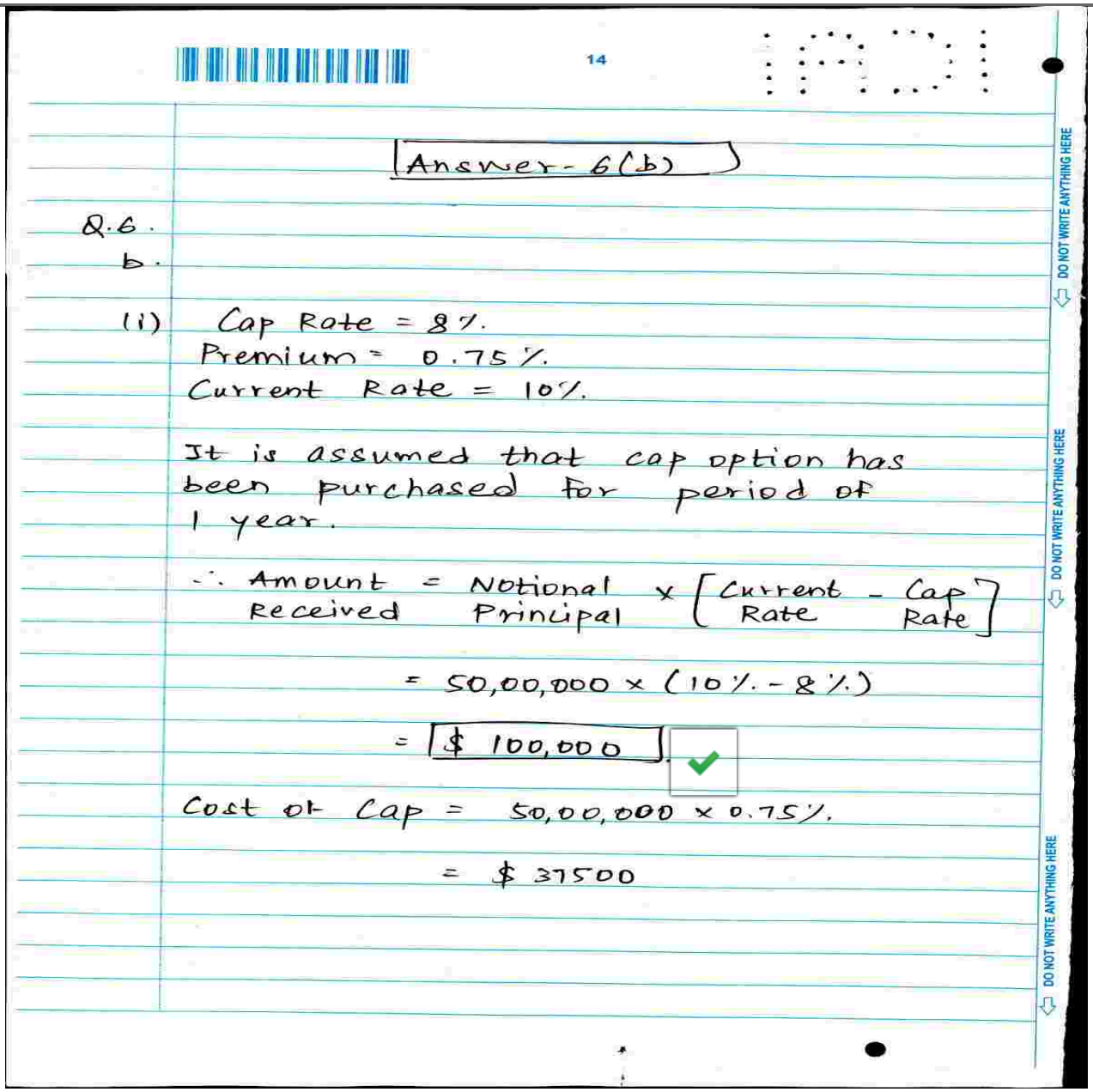
= ₹30,000 Gain

R 1 6aStep4

R 7 6a

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



14

Answer - 6(b)

Q.6.
b.

(i) Cap Rate = 8%.
Premium = 0.75%.
Current Rate = 10%.

It is assumed that cap option has been purchased for period of 1 year.

∴ Amount Received = Notional Principal × [Current Rate − Cap Rate]

= 50,00,000 × (10% − 8%)

= $ 100,000

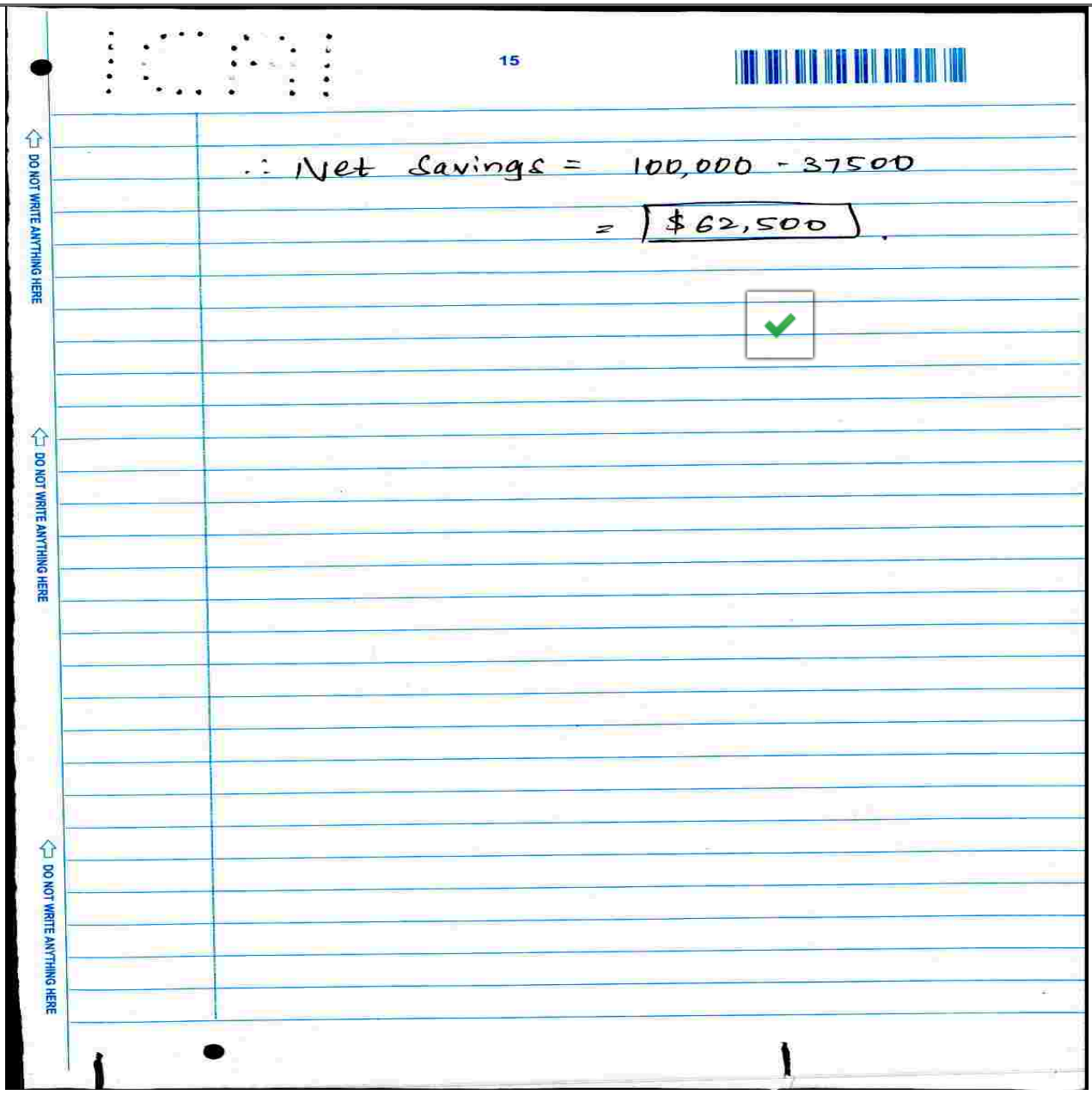
Cost of Cap = 50,00,000 × 0.75%.

= $ 37500

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

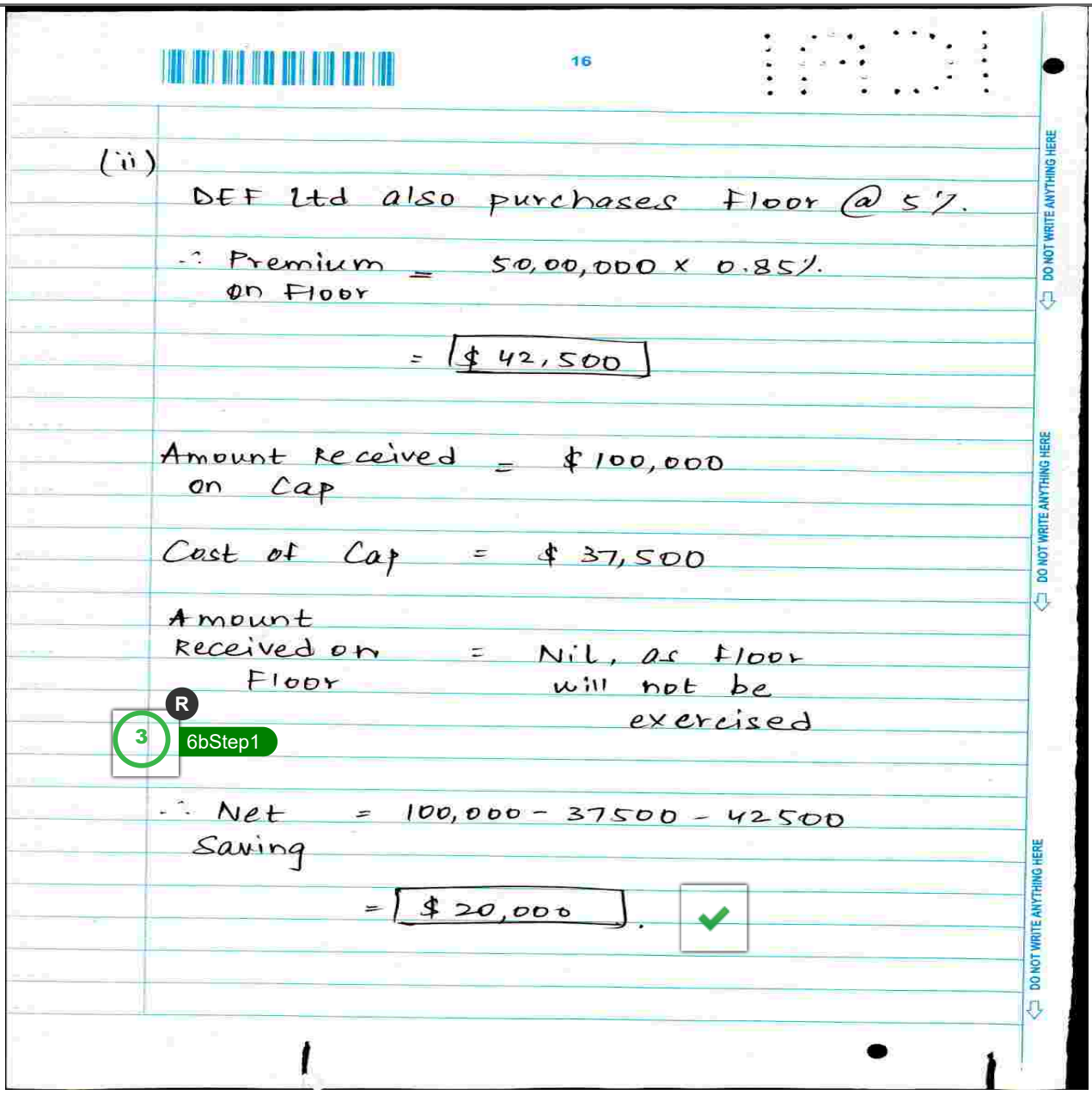
The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



16

(ii)

DEF ltd also purchases Floor @ 5%.

∴ Premium on Floor = 50,00,000 × 0.85%.

= $ 42,500

Amount Received on Cap = $ 100,000

Cost of Cap = $ 37,500

Amount Received on Floor = Nil, as Floor will not be exercised

R

3 6bStep1

∴ Net Saving = 100,000 − 37500 − 42500

= $ 20,000.

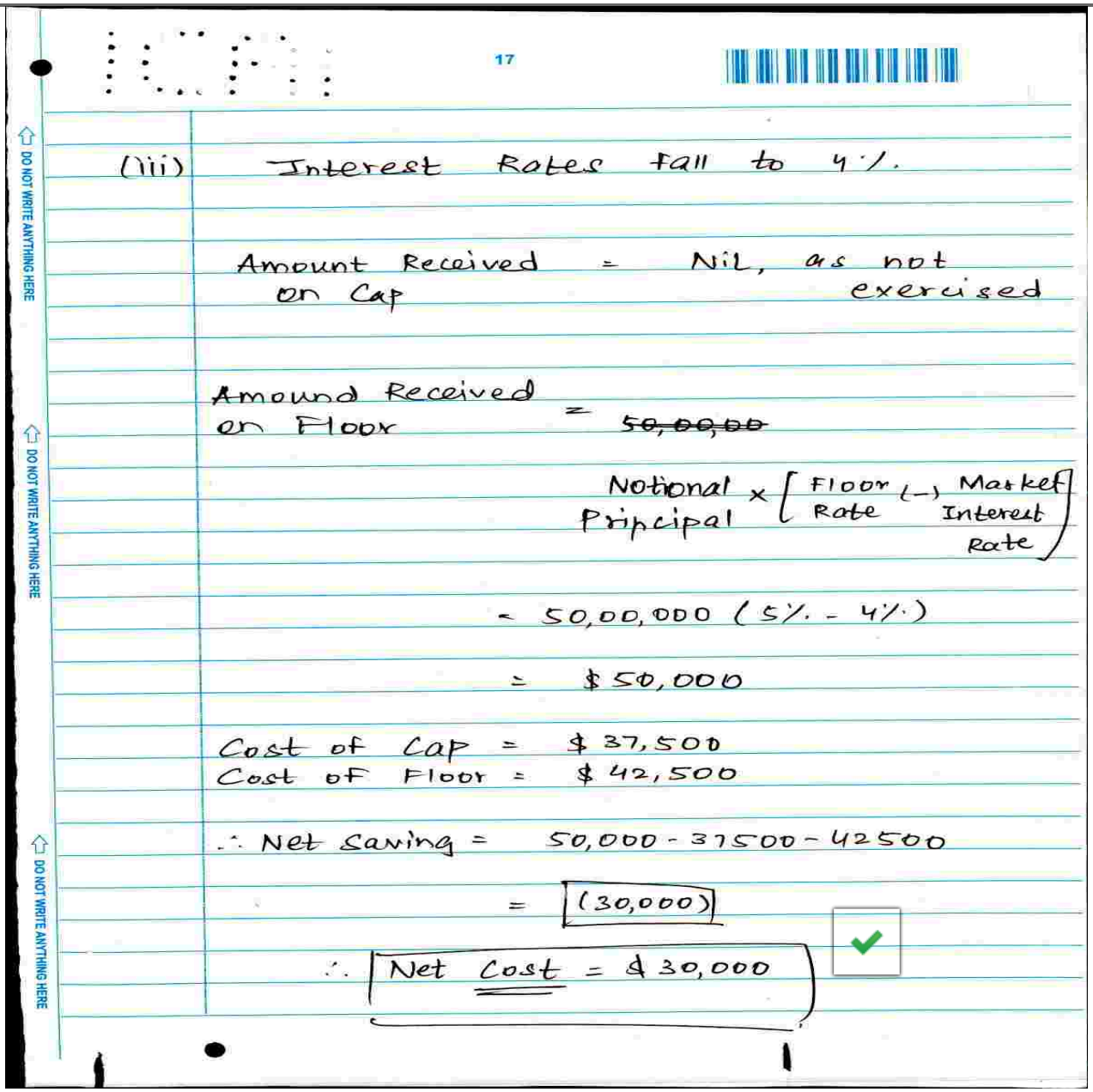
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



17

DO NOT WRITE ANYTHING HERE

(iii) Interest Rates fall to 4%.

Amount Received on Cap = Nil, as not exercised

Amound Received on Floor = ~~50,00,00~~

Notional Principal × [Floor Rate (-) Market Interest Rate]

= 50,00,000 (5% - 4%)

= $50,000

Cost of Cap = $37,500
Cost of Floor = $42,500

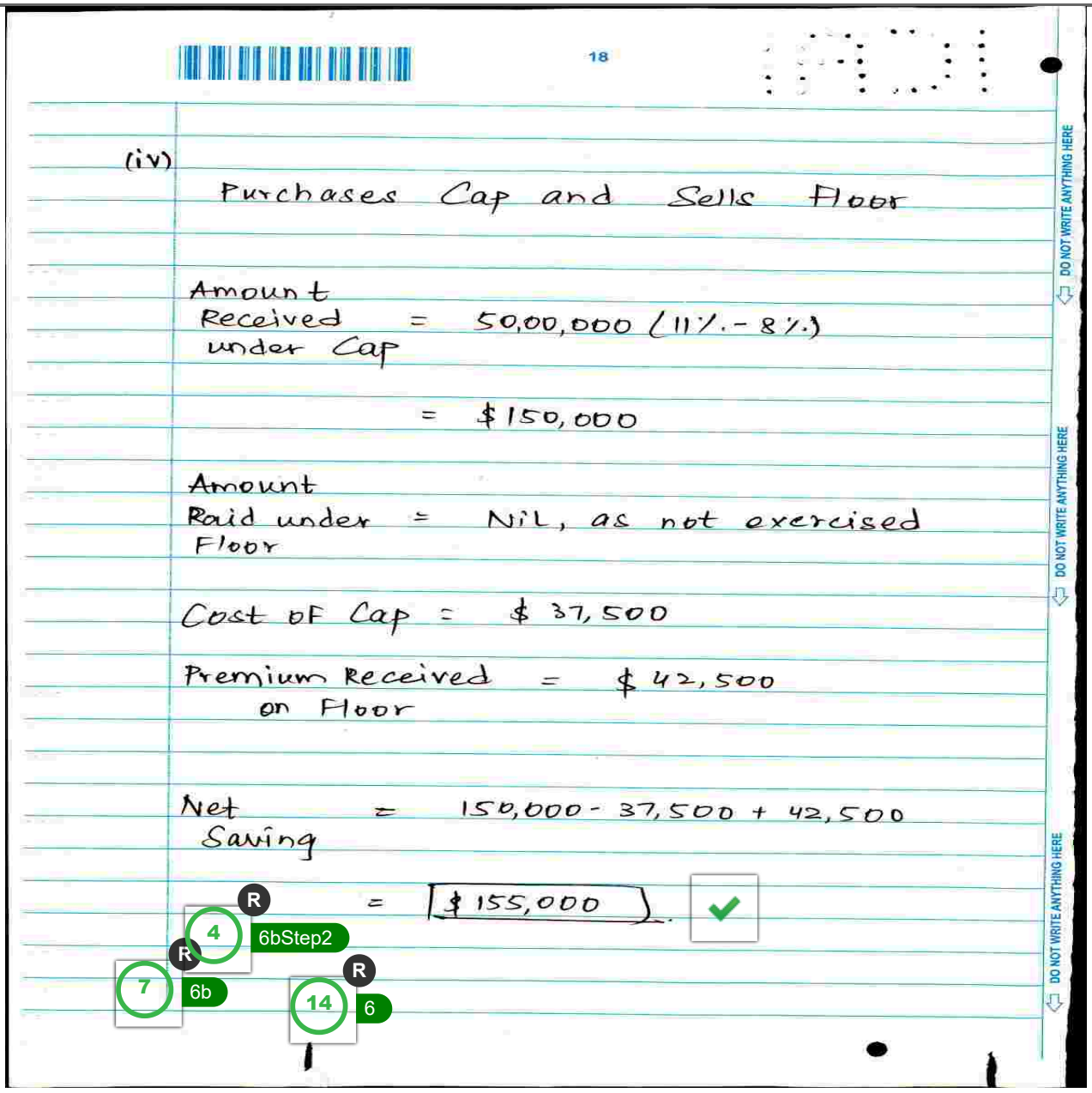
∴ Net Saving = 50,000 - 37500 - 42500

= (30,000)

∴ Net Cost = $30,000

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



18

(iv)

Purchases Cap and Sells Floor

Amount Received under Cap = 50,00,000 (11% - 8%)

= $150,000

Amount Raid under Floor = Nil, as not exercised

Cost of Cap = $ 37,500

Premium Received on Floor = $ 42,500

Net Saving = 150,000 - 37,500 + 42,500

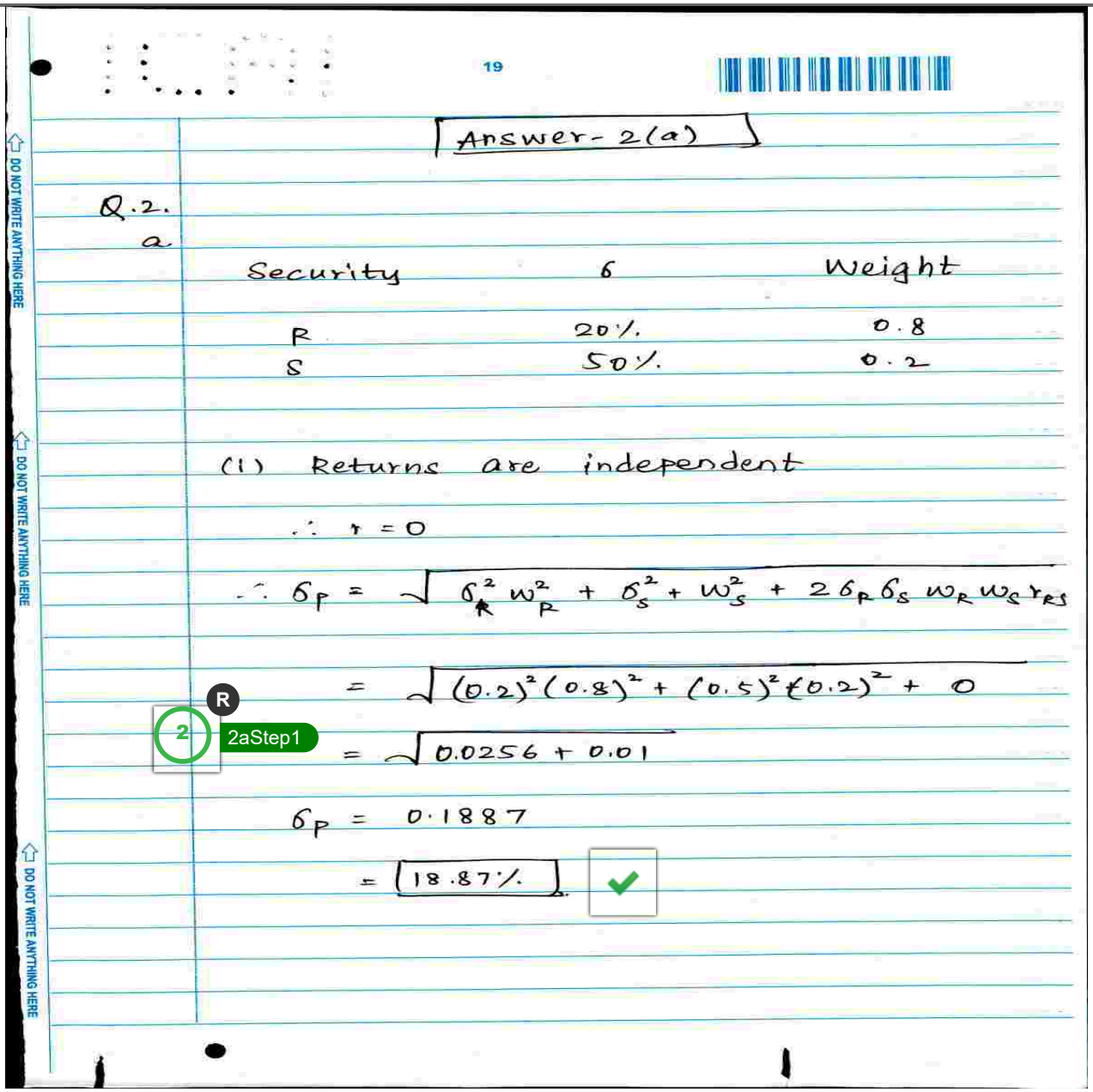
= $155,000

R 4 6bStep2
R 7 6b
R 14 6

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



19

Answer- 2(a)

Q.2.
a

Security	σ	Weight
R	20%	0.8
S	50%	0.2

(1) Returns are independent

$\therefore r = 0$

$\therefore \sigma_p = \sqrt{\sigma_R^2 w_R^2 + \sigma_S^2 + w_S^2 + 2\sigma_R \sigma_S w_R w_S r_{RS}}$

$= \sqrt{(0.2)^2(0.8)^2 + (0.5)^2(0.2)^2 + 0}$

$= \sqrt{0.0256 + 0.01}$

$\sigma_p = 0.1887$

$= 18.87\%$

R 2 2aStep1

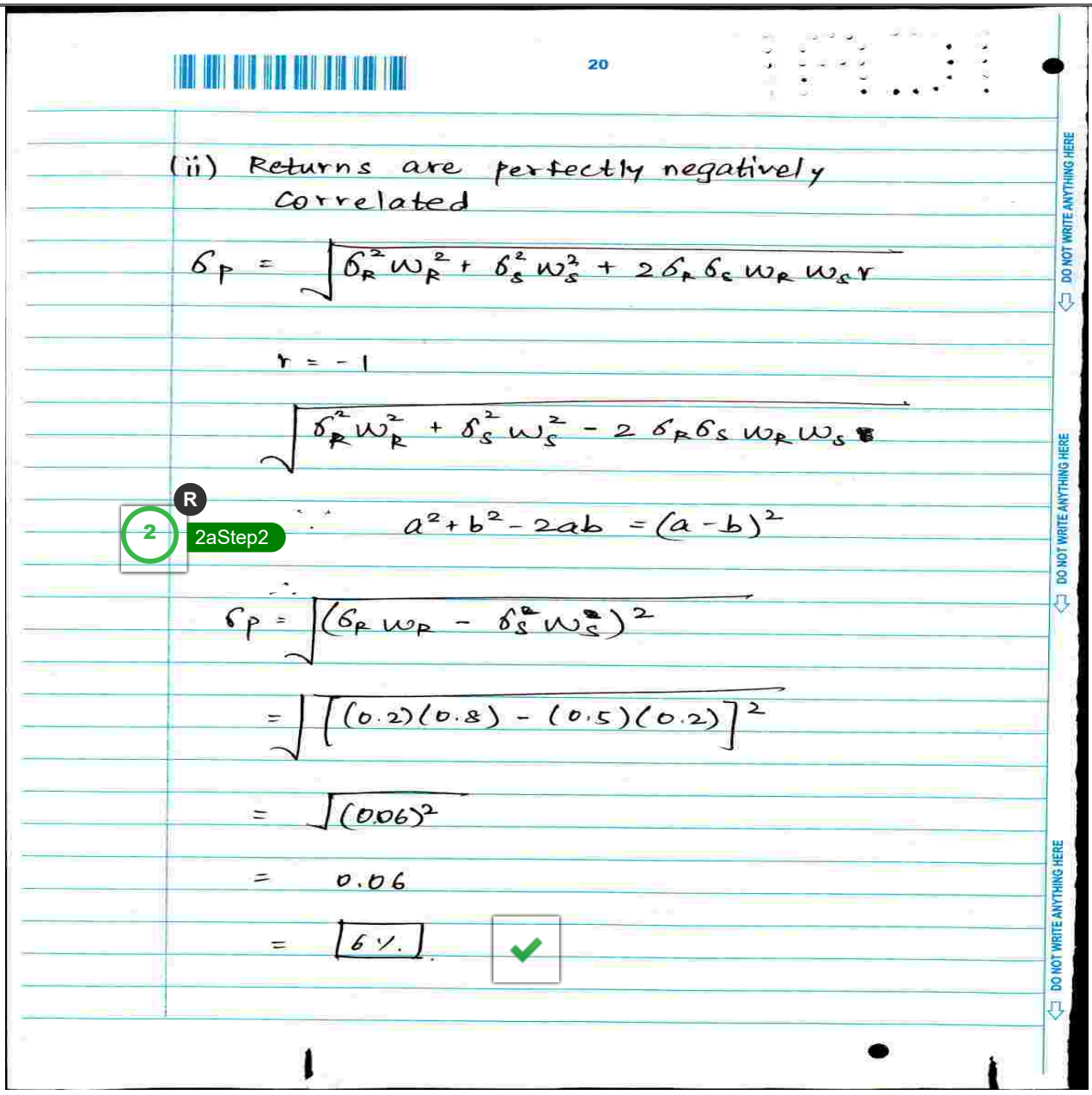
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



20

(ii) Returns are perfectly negatively correlated

$$\sigma_p = \sqrt{\sigma_R^2 w_R^2 + \sigma_S^2 w_S^2 + 2\sigma_R \sigma_S w_R w_S r}$$

$r = -1$

$$\sqrt{\sigma_R^2 w_R^2 + \sigma_S^2 w_S^2 - 2\sigma_R \sigma_S w_R w_S}$$

R

2 2aStep2

$\therefore \quad a^2 + b^2 - 2ab = (a-b)^2$

$$\sigma_p = \sqrt{(\sigma_R w_R - \sigma_S w_S)^2}$$

$$= \sqrt{[(0.2)(0.8) - (0.5)(0.2)]^2}$$

$$= \sqrt{(0.06)^2}$$

$$= 0.06$$

$$= [6\%]$$

DO NOT WRITE ANYTHING HERE

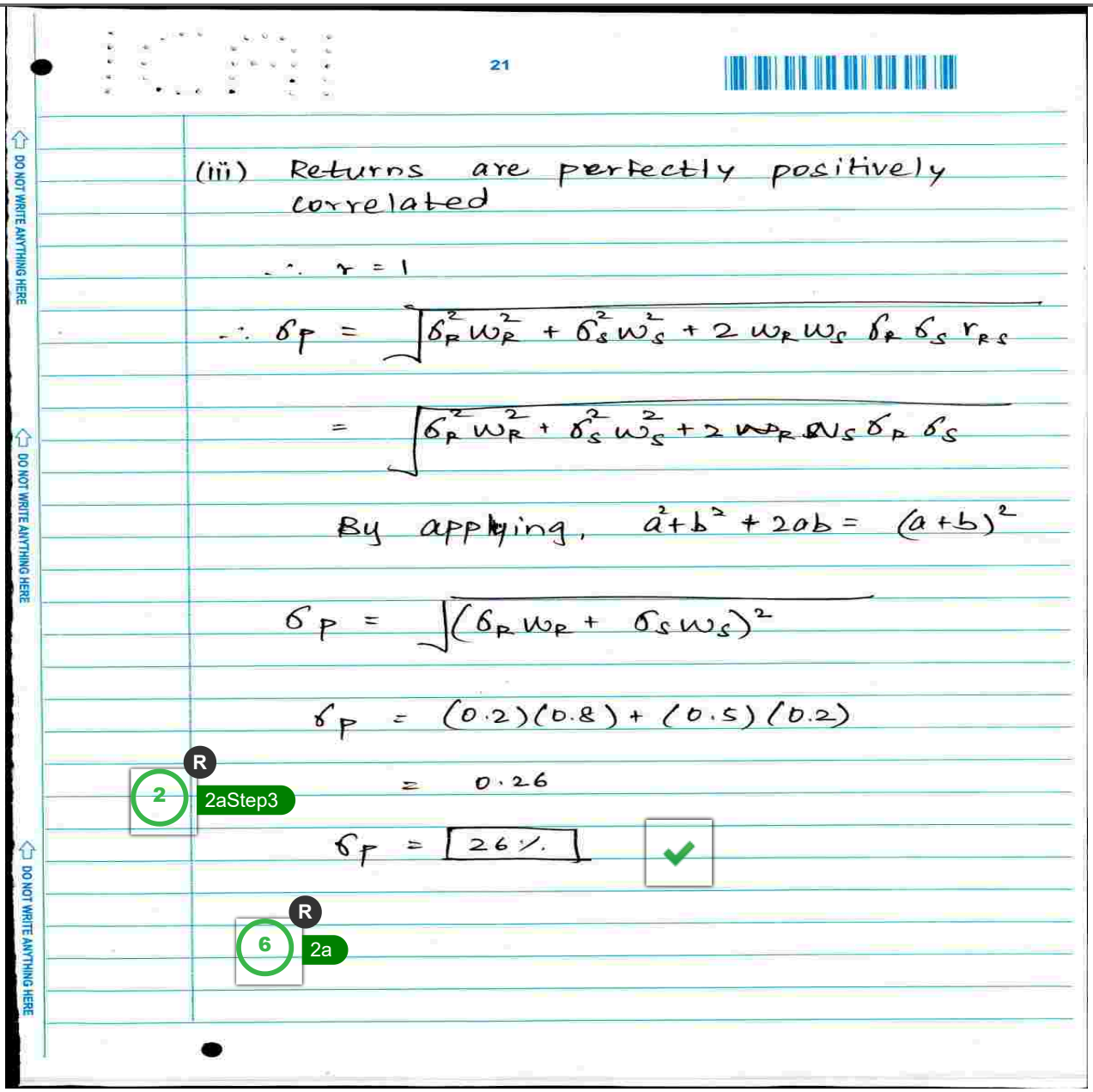
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

Page 20

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



21

DO NOT WRITE ANYTHING HERE

(iii) Returns are perfectly positively correlated

$\therefore r = 1$

$\therefore \sigma_p = \sqrt{\sigma_R^2 w_R^2 + \sigma_S^2 w_S^2 + 2 w_R w_S \sigma_R \sigma_S r_{RS}}$

$= \sqrt{\sigma_R^2 w_R^2 + \sigma_S^2 w_S^2 + 2 w_R w_S \sigma_R \sigma_S}$

By applying, $a^2 + b^2 + 2ab = (a+b)^2$

$\sigma_p = \sqrt{(\sigma_R w_R + \sigma_S w_S)^2}$

$\sigma_p = (0.2)(0.8) + (0.5)(0.2)$

$= 0.26$

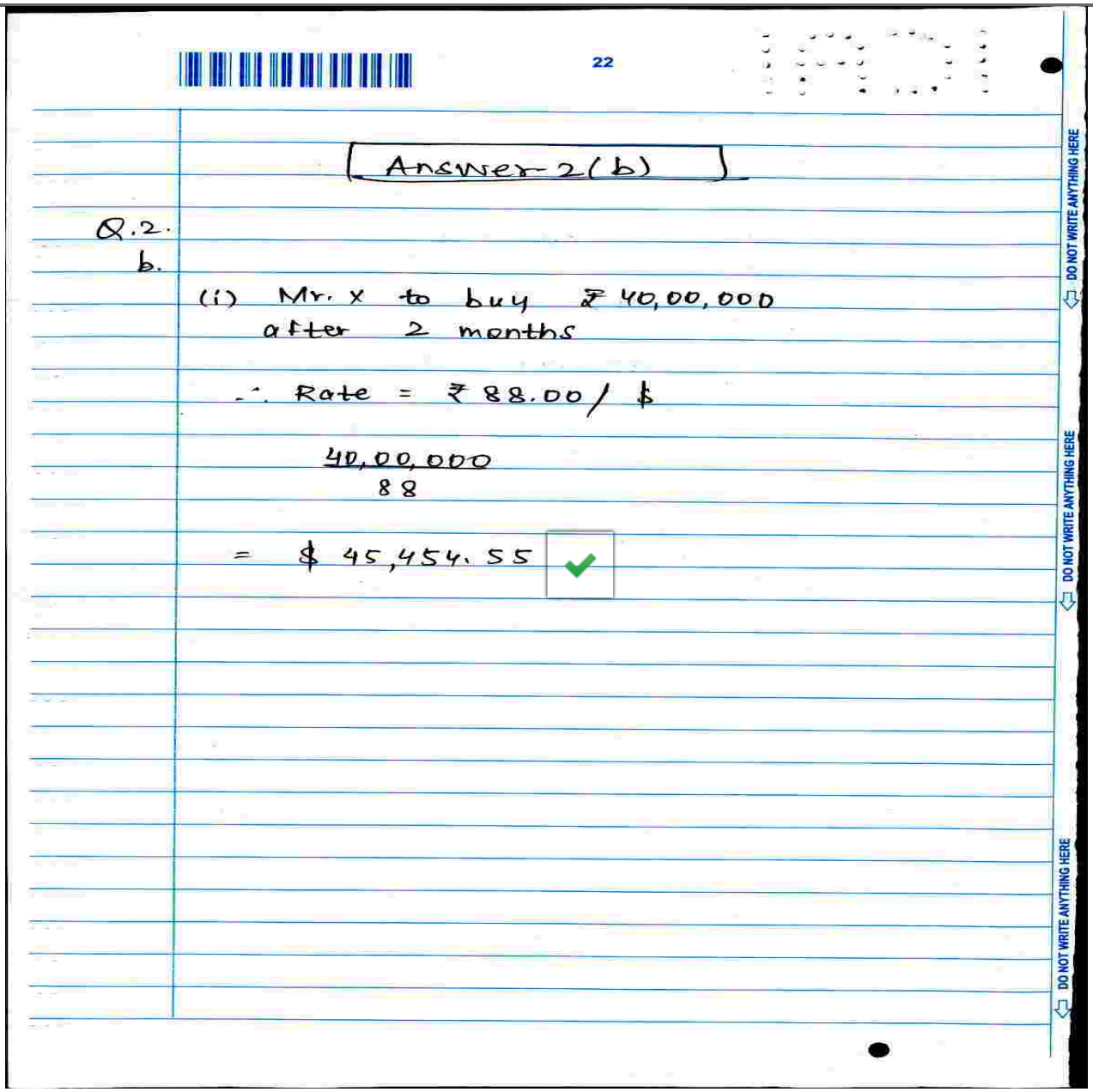
$\sigma_p = \boxed{26\%}$

R 2 2aStep3

R 6 2a

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



22

Answer 2(b)

Q.2.
b.

(i) Mr. X to buy ₹ 40,00,000 after 2 months

∴ Rate = ₹ 88.00 / $

40,00,000
88

= $ 45,454.55

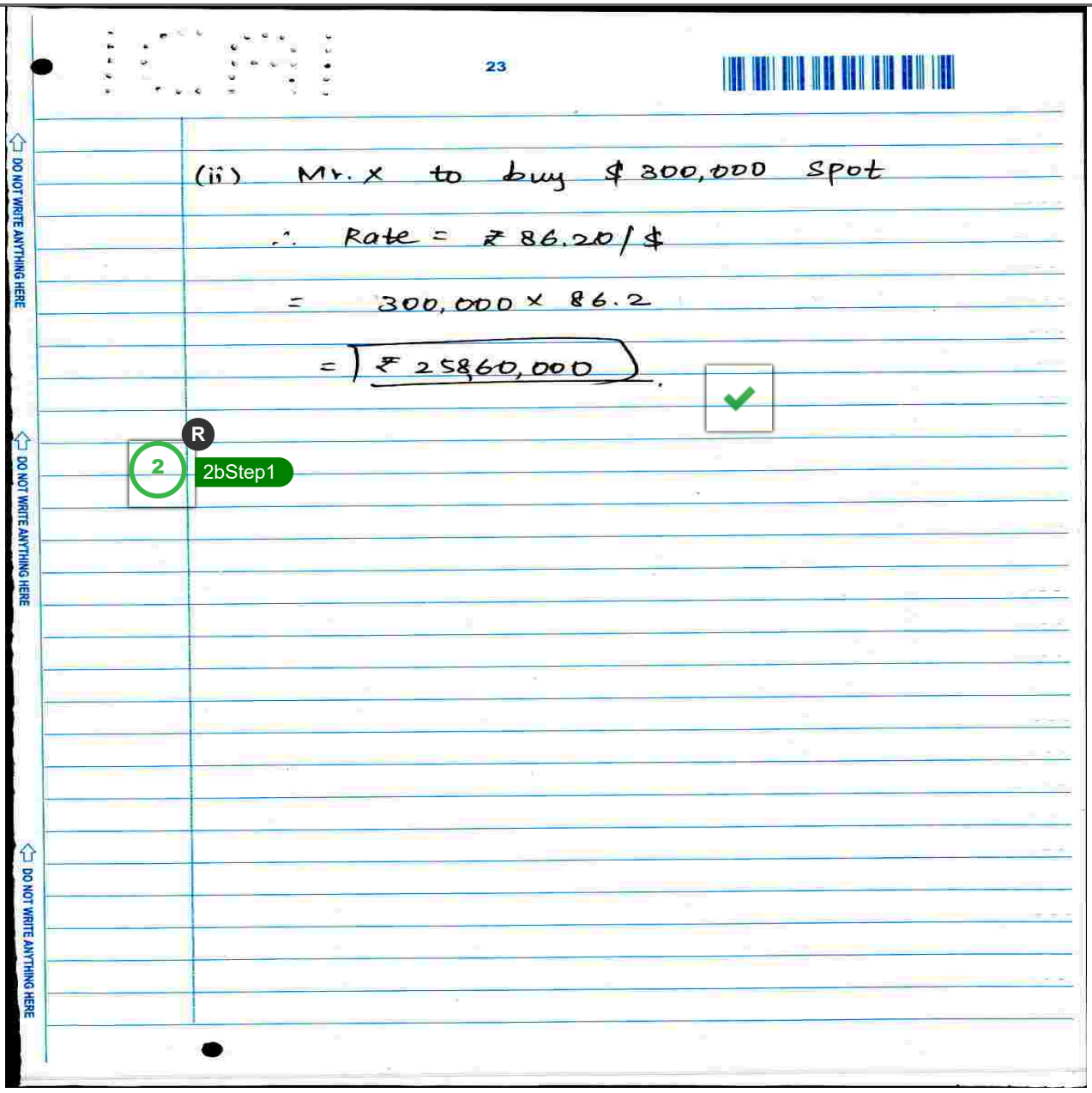
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



23

(ii) Mr. X to buy $ 300,000 spot

∴ Rate = ₹ 86.20 / $

= 300,000 × 86.2

= ₹ 25860,000.

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

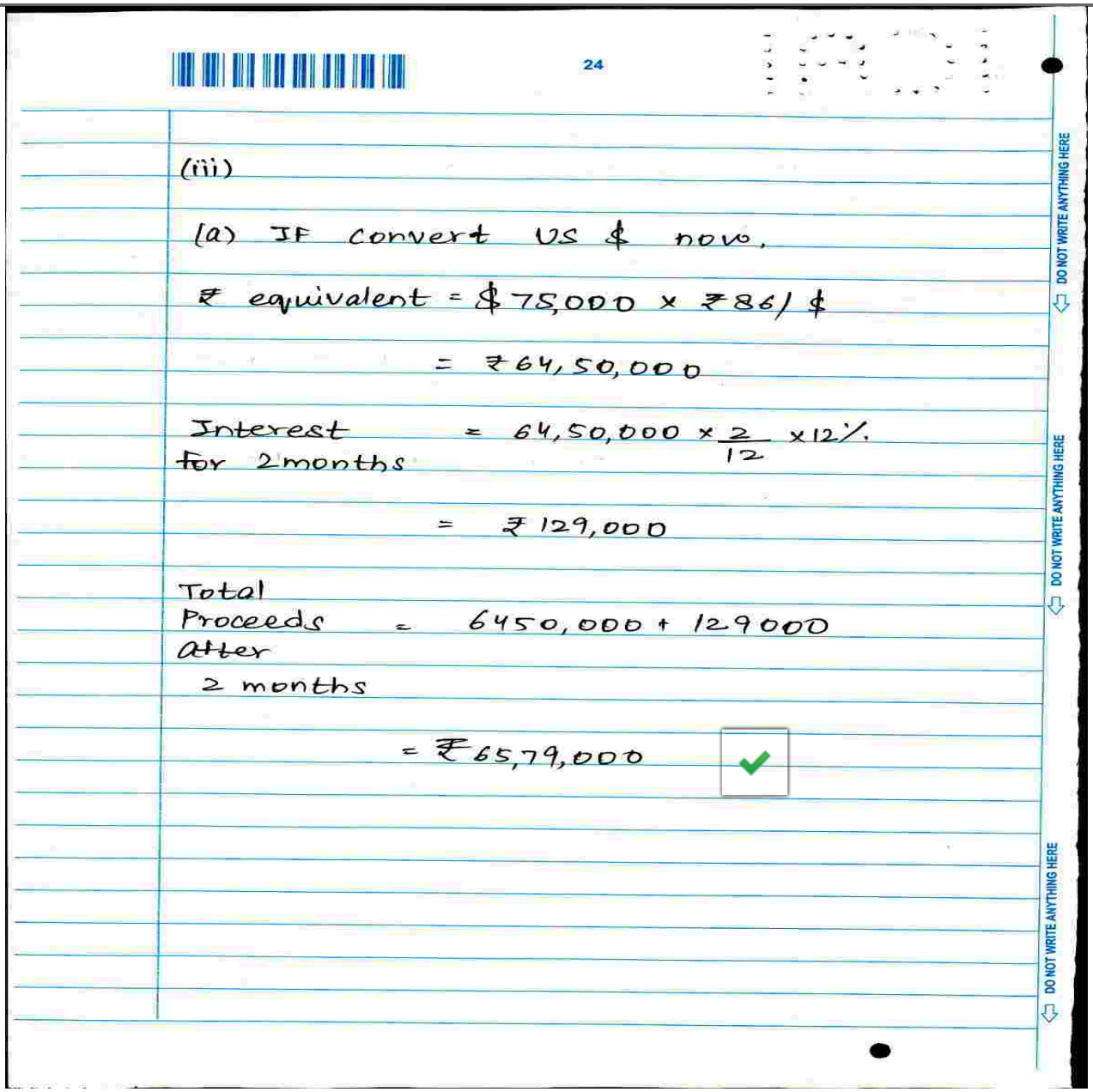
DO NOT WRITE ANYTHING HERE

R

2 2bStep1

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



24

(iii)

(a) If convert US $ now,

₹ equivalent = $75,000 × ₹86/$

= ₹64,50,000

Interest for 2 months = 64,50,000 × 2/12 × 12%

= ₹129,000

Total Proceeds after 2 months = 6450,000 + 129000

= ₹65,79,000

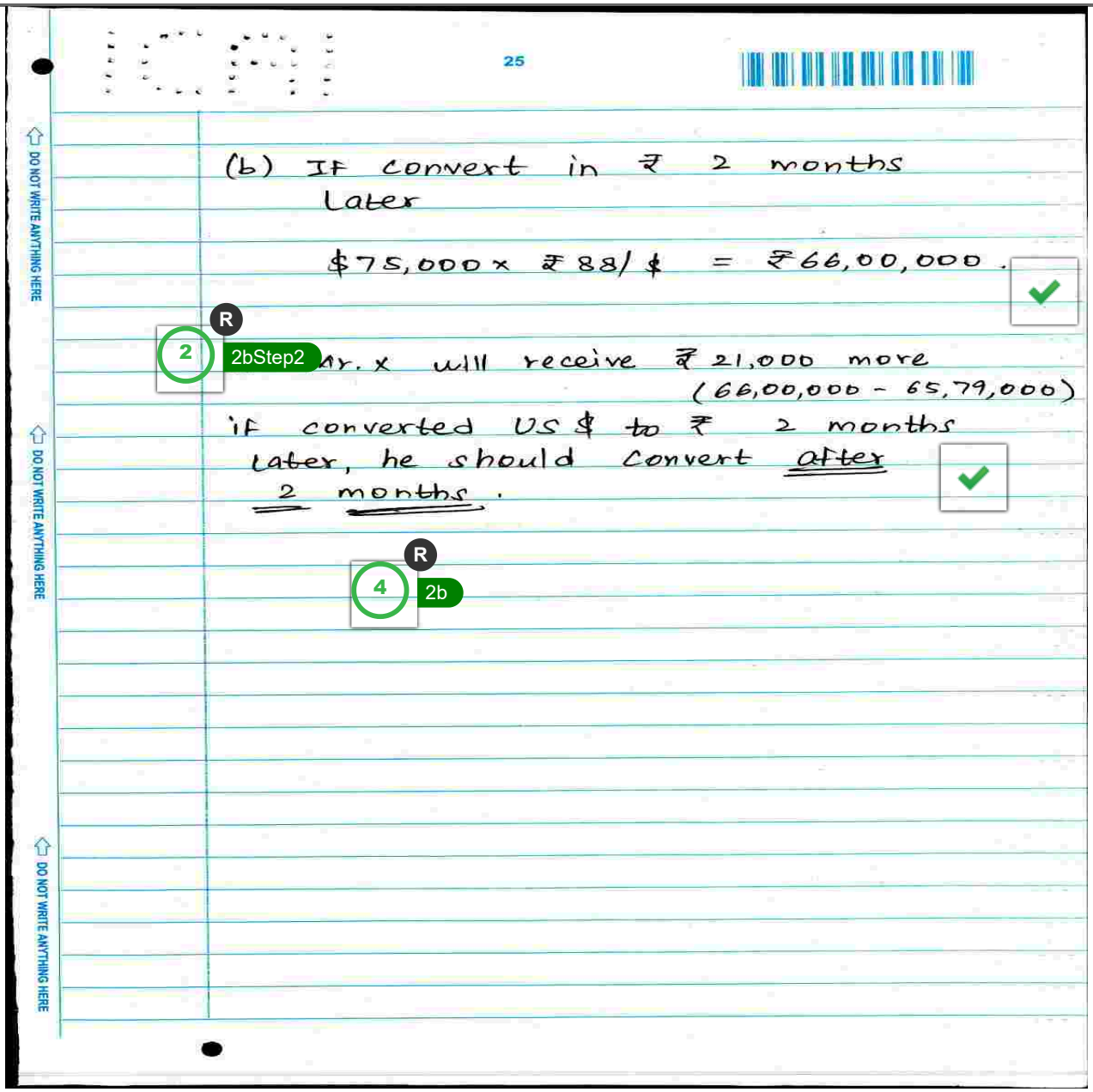
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



25

DO NOT WRITE ANYTHING HERE

(b) If convert in ₹ 2 months Later

$75,000 × ₹ 88/$ = ₹ 66,00,000.

R 2 2bStep2

Mr. X will receive ₹ 21,000 more (66,00,000 - 65,79,000)

if converted US $ to ₹ 2 months Later, he should convert after 2 months.

R 4 2b

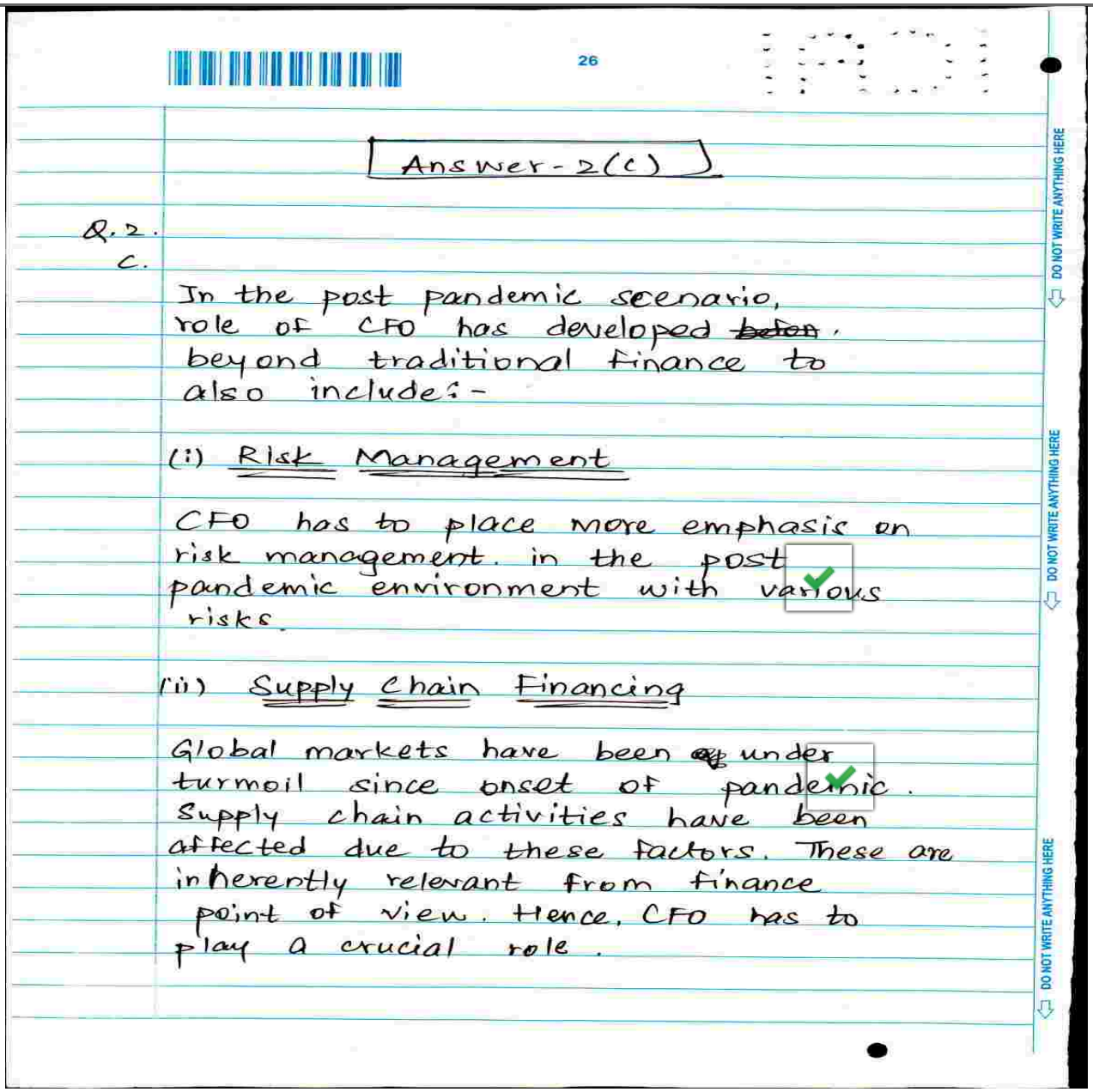
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



26

Answer - 2(c)

Q. 2.
c.

In the post pandemic scenario, role of CFO has developed ~~befor~~. beyond traditional finance to also include:-

(i) Risk Management

CFO has to place more emphasis on risk management. in the post pandemic environment with various risks.

(ii) Supply Chain Financing

Global markets have been ~~of~~ under turmoil since onset of pandemic. Supply chain activities have been affected due to these factors. These are inherently relevant from finance point of view. Hence, CFO has to play a crucial role.

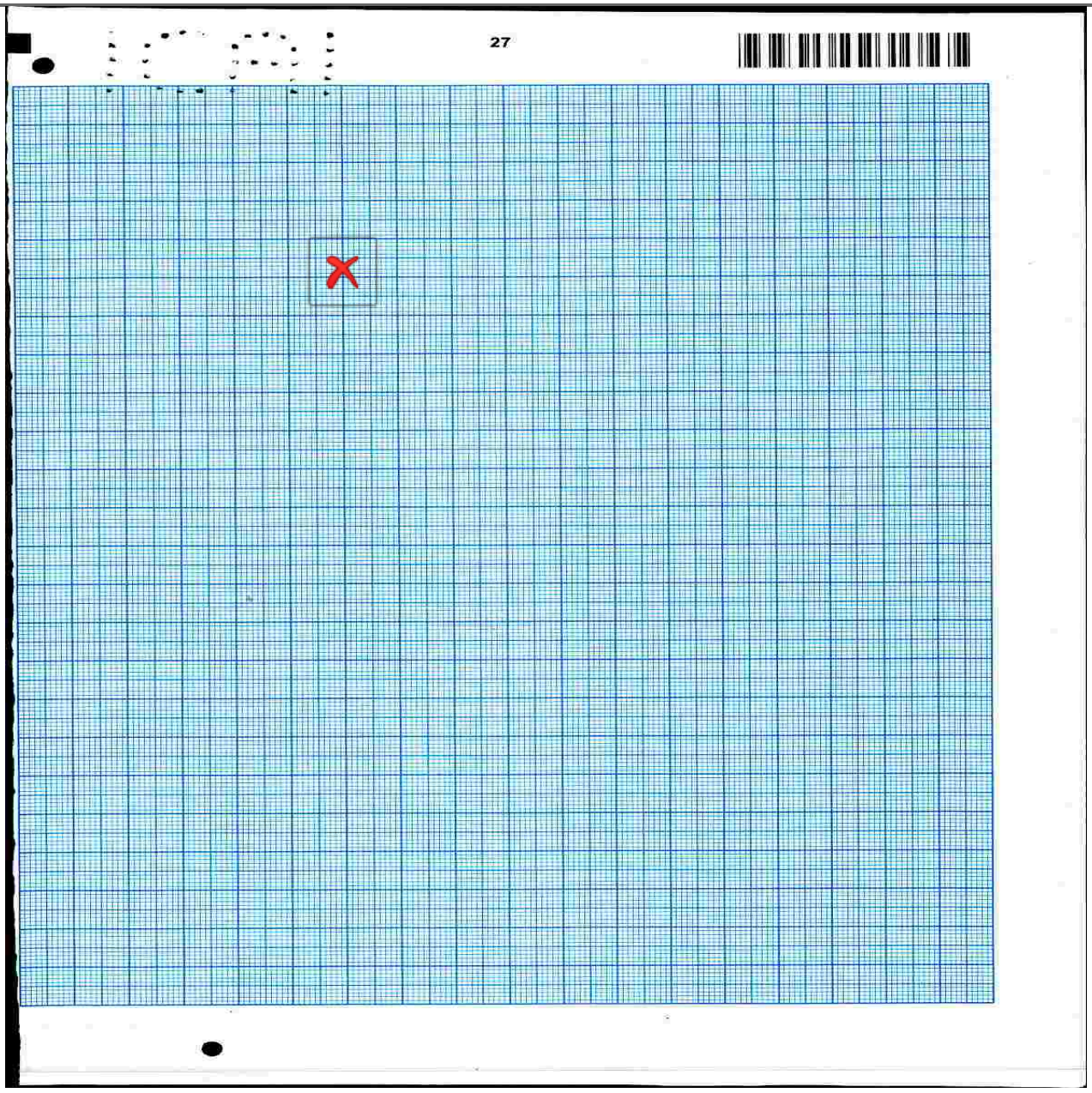
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

(iii) Mergers, Acquisitions and Corporate Restructuring

~~Ans~~

With changing economic factors, corporate world has seen major mergers, acquisition and restructuring arrangements to inorginacally grow shareholder values. CFO plays a crucial role ~~be~~ to assess these arrangements as failure to carefully assess and analyze them may lead to major losses and even downfalls.

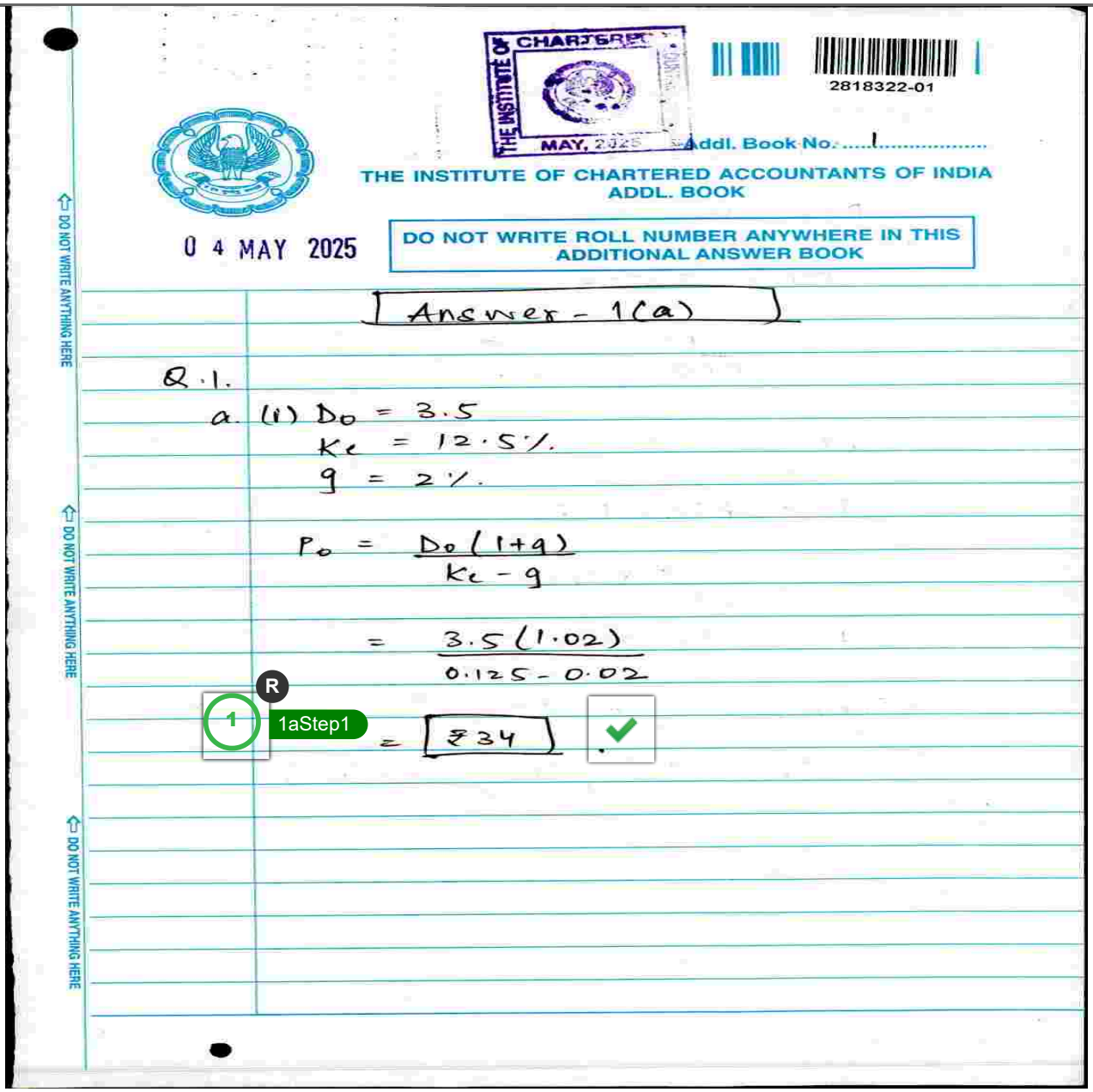
(iv) Environmental, Social and Governance financing

Investor focus has shifted from traditional parameters to new environmental, social and governence factors. Thus, focus of CFO has shifted from traditional finance to sustainable financing and growth.

R 4 2cStep1 R 14 2 4 2c

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



THE INSTITUTE OF CHARTERED ACCOUNTANTS
MAY, 2025
2818322-01
Addl. Book No: 1
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK
0 4 MAY 2025
DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

Answer - 1(a)

Q.1.

a. (i) $D_0 = 3.5$

$K_e = 12.5\%$.

$g = 2\%$.

$$P_0 = \frac{D_0(1+g)}{K_e - g}$$

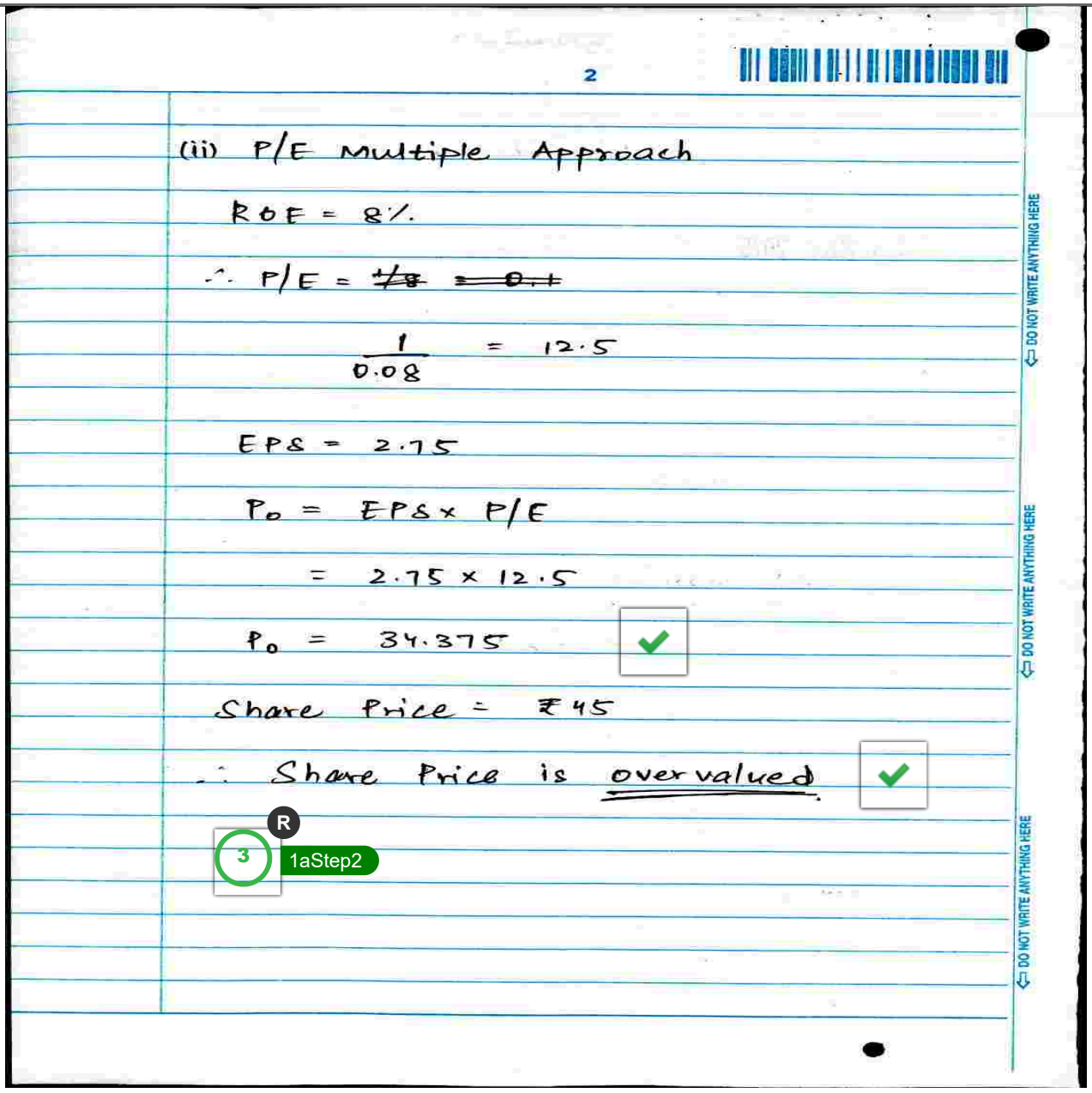
$$= \frac{3.5(1.02)}{0.125 - 0.02}$$

R 1 1aStep1

$$= ₹34$$

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



2

(ii) P/E Multiple Approach

ROE = 8%.

∴ P/E = ~~1/8 = 0.1~~

$\frac{1}{0.08} = 12.5$

EPS = 2.75

P_0 = EPS × P/E

= 2.75 × 12.5

P_0 = 34.375 ✔

Share Price = ₹45

∴ Share Price is overvalued ✔

R

3 1aStep2

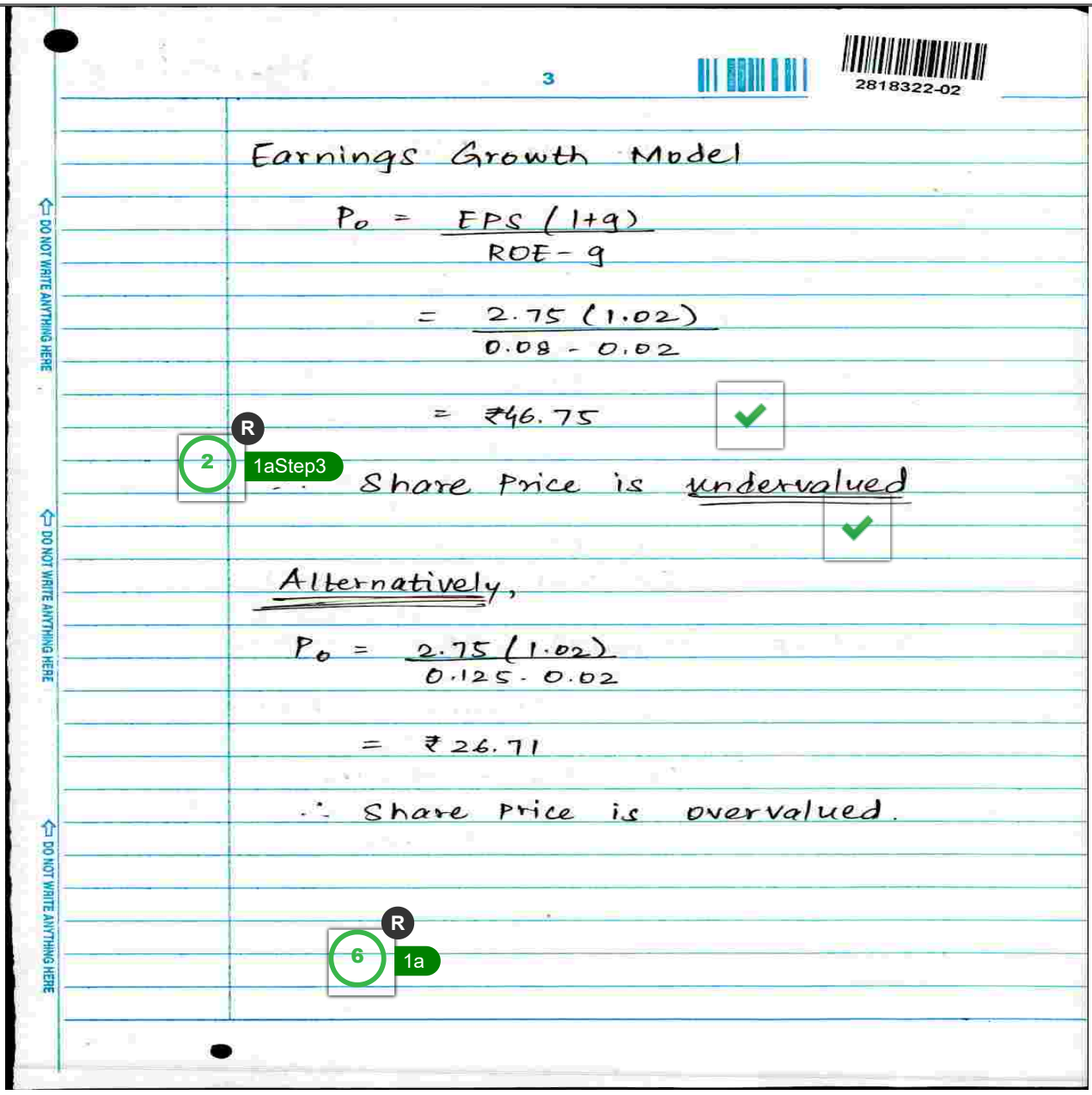
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



3

2818322-02

Earnings Growth Model

$$P_0 = \frac{EPS\,(1+g)}{ROE - g}$$

$$= \frac{2.75\,(1.02)}{0.08 - 0.02}$$

$$= ₹46.75$$

R 2 1aStep3

∴ Share Price is undervalued

Alternatively,

$$P_0 = \frac{2.75\,(1.02)}{0.125 - 0.02}$$

$$= ₹26.71$$

∴ Share Price is overvalued.

R 6 1a

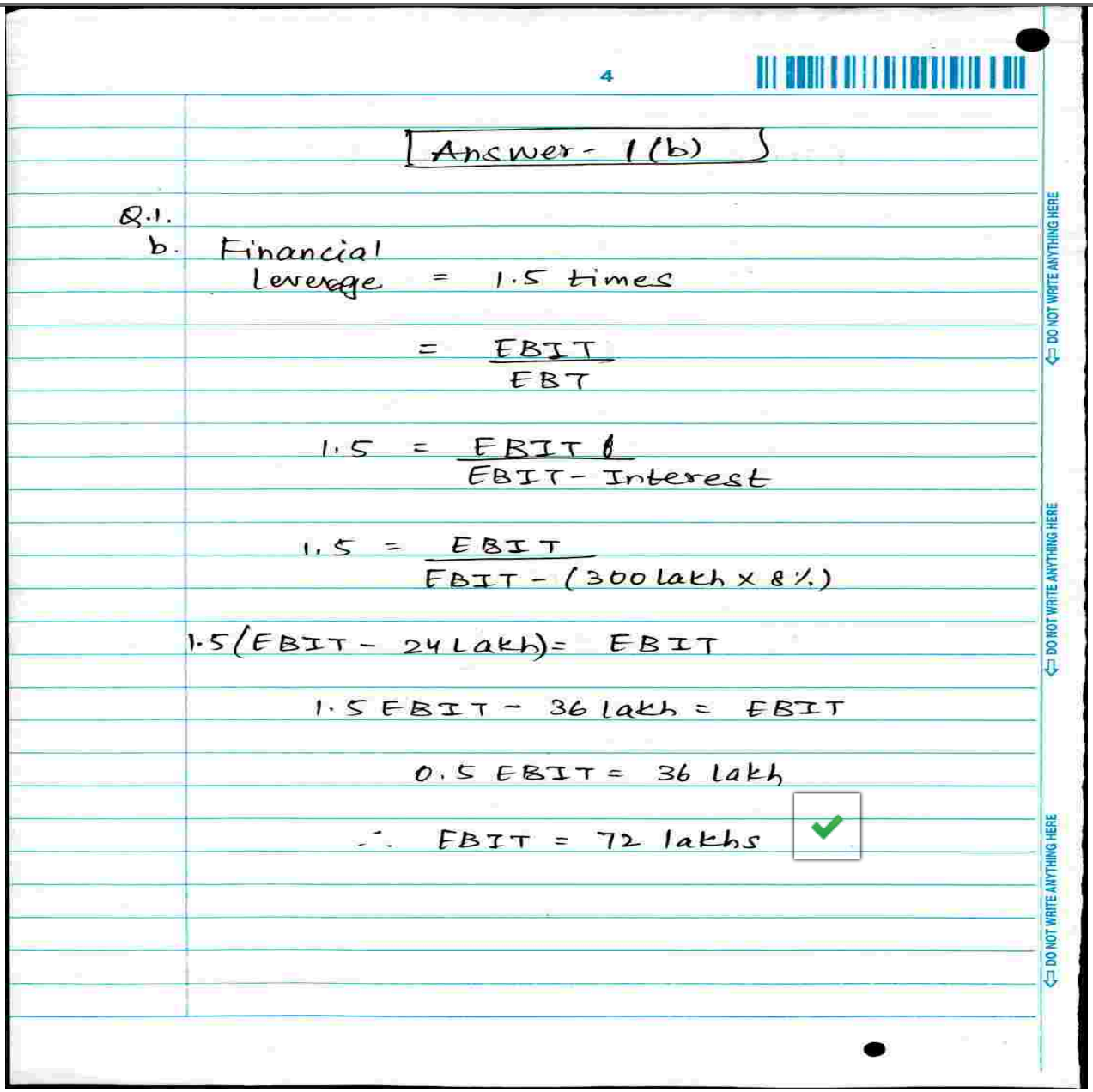
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



4

Answer - 1 (b)

Q.1.

b. Financial leverage = 1.5 times

$$= \frac{EBIT}{EBT}$$

$$1.5 = \frac{EBIT}{EBIT - Interest}$$

$$1.5 = \frac{EBIT}{EBIT - (300\ lakh \times 8\%)}$$

$$1.5(EBIT - 24\ lakh) = EBIT$$

$$1.5\ EBIT - 36\ lakh = EBIT$$

$$0.5\ EBIT = 36\ lakh$$

$$\therefore EBIT = 72\ lakhs$$

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

CHARTERED ACCOUNTANTS
THE INSTITUTE
MAY, 202
2818322-03
Addl. Book No. .....
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK
DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK
0 4 MAY 2025
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

Total Equity = 100 + 200
= 300 lakhs

Debt = 300 lakhs

∴ WACC = $k_e w_e + k_d w_d$

= 15 (0.5) + 8 (0.75)(0.5)

= 7.5 + 3

= 10.5%.

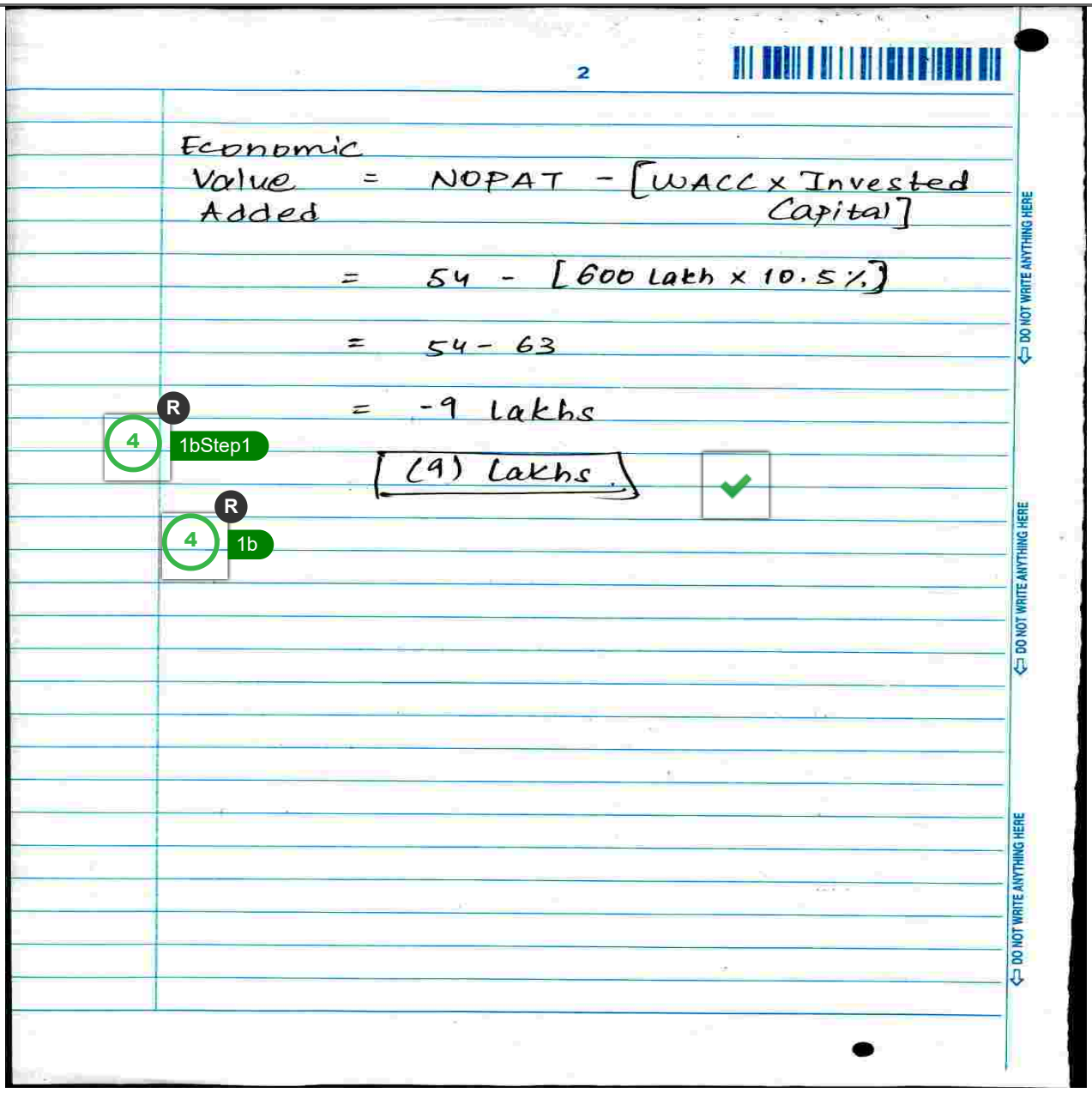
NOPAT = EBIT (1-t)

= 72 (1 - 0.25)

= 54 lakh

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



2

Economic Value Added = NOPAT - [WACC x Invested Capital]

= 54 - [600 Lakh x 10.5%]

= 54 - 63

= -9 Lakhs

[(9) Lakhs]

R 4 1bStep1

R 4 1b

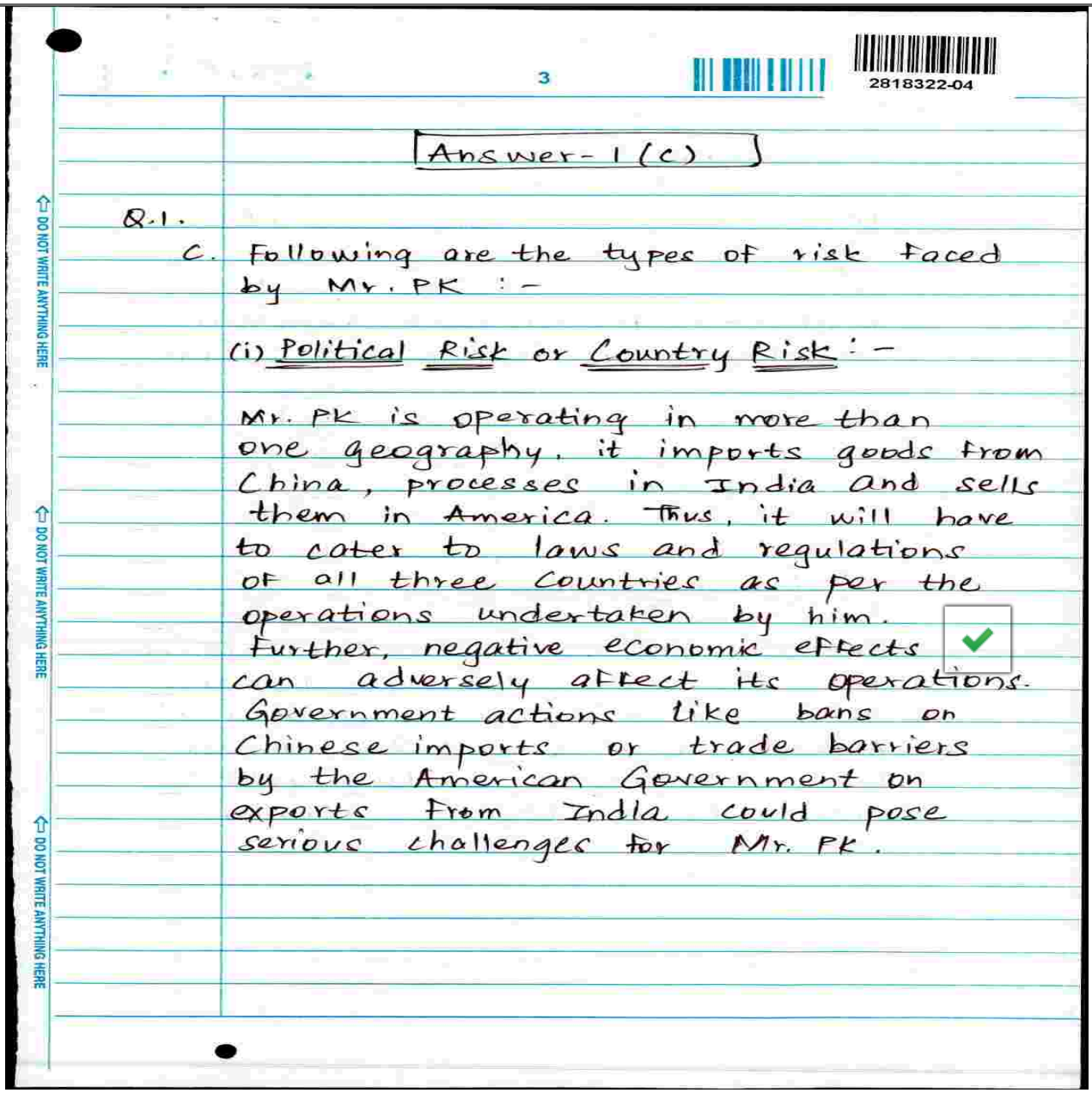
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



3

2818322-04

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

Answer - 1 (c)

Q.1.

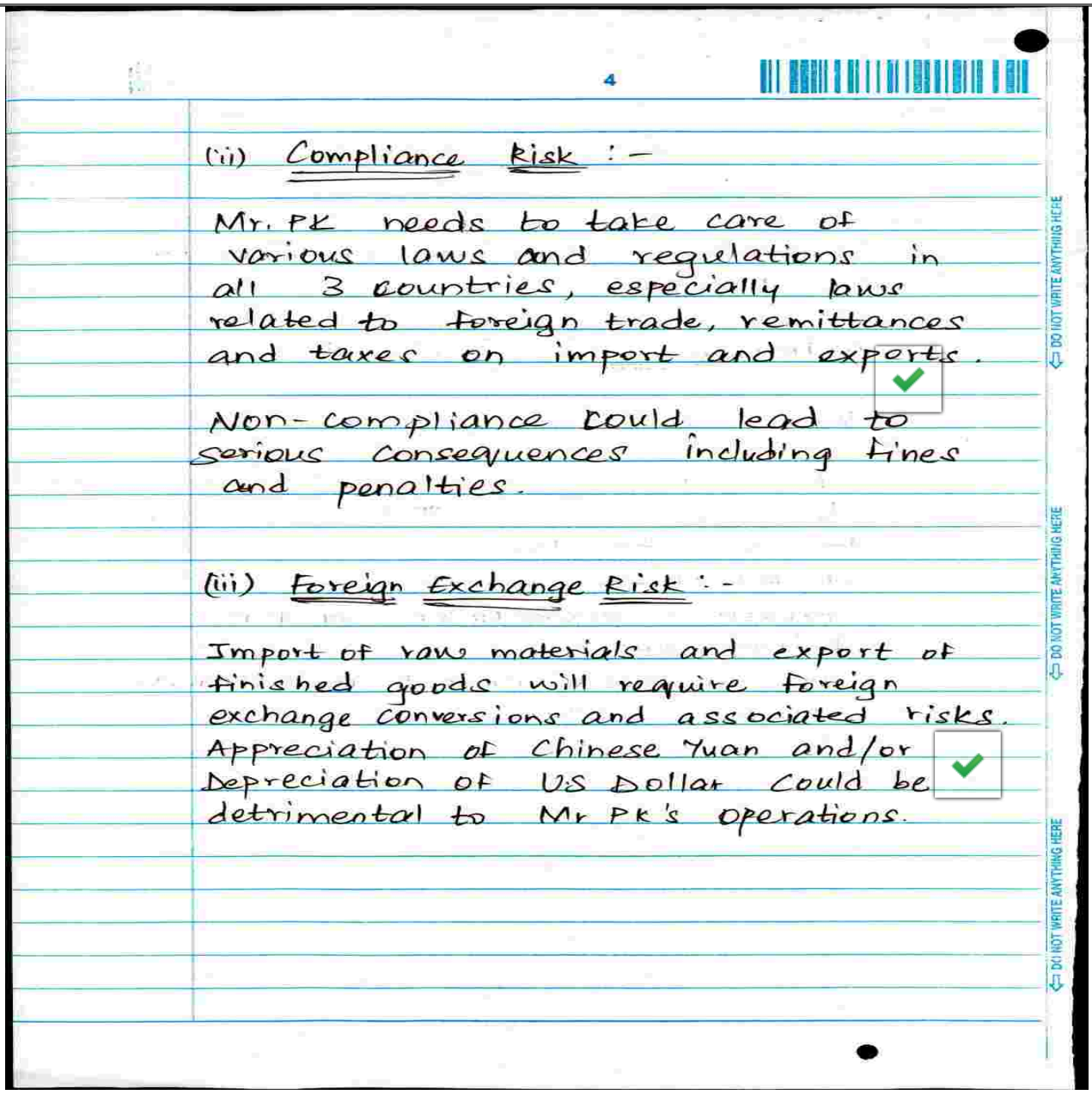
C. Following are the types of risk faced by Mr. PK :-

(i) Political Risk or Country Risk :-

Mr. PK is operating in more than one geography, it imports goods from China, processes in India and sells them in America. Thus, it will have to cater to laws and regulations of all three countries as per the operations undertaken by him. Further, negative economic effects can adversely affect its operations. Government actions like bans on Chinese imports or trade barriers by the American Government on exports from India could pose serious challenges for Mr. PK.

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



4

(ii) Compliance Risk :-

Mr. PK needs to take care of various laws and regulations in all 3 countries, especially laws related to foreign trade, remittances and taxes on import and exports.

Non-compliance could lead to serious consequences including fines and penalties.

(iii) Foreign Exchange Risk :-

Import of raw materials and export of finished goods will require foreign exchange conversions and associated risks. Appreciation of Chinese Yuan and/or Depreciation of US Dollar could be detrimental to Mr PK's operations.

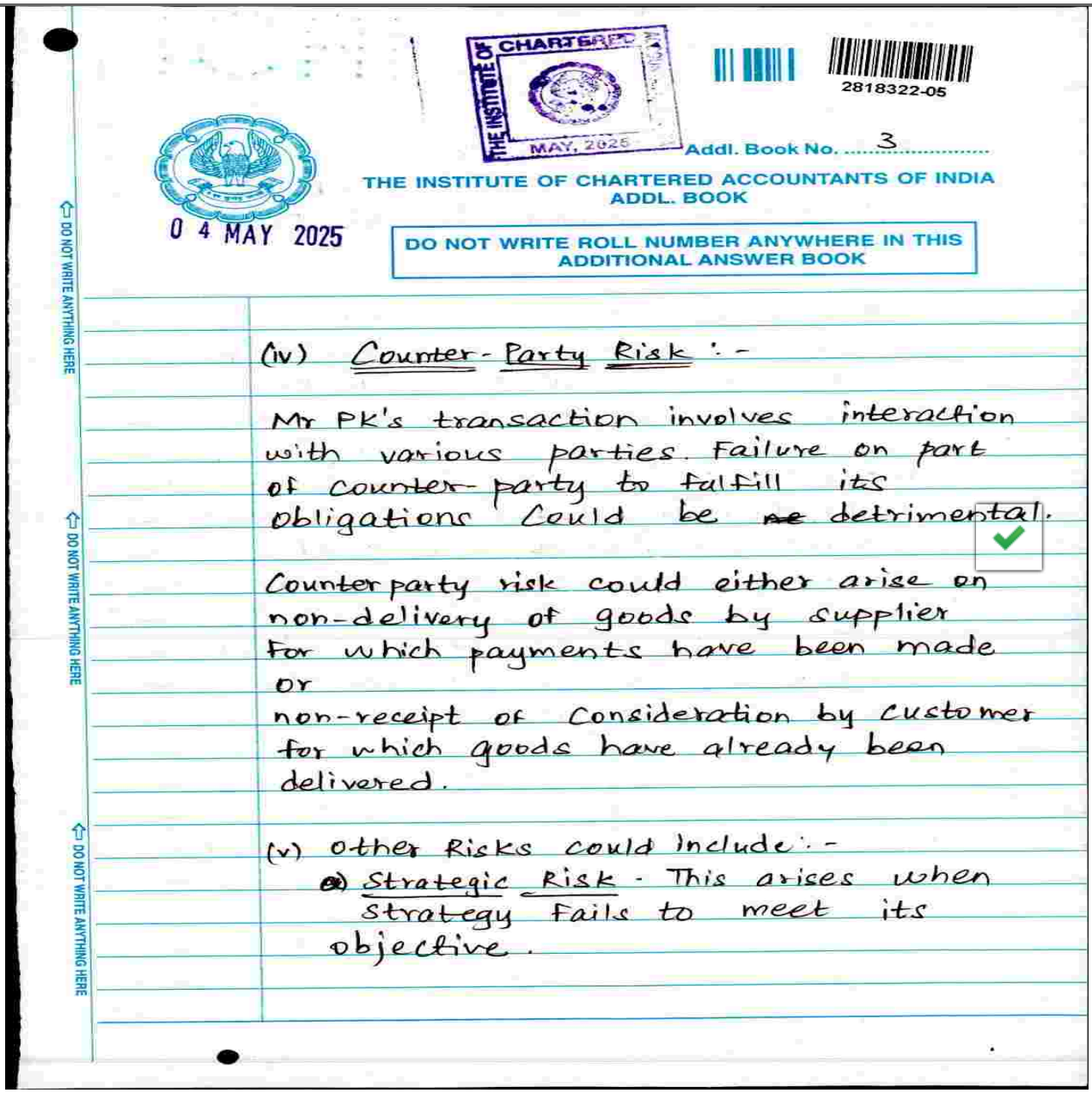
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



THE INSTITUTE OF CHARTERED ACCOUNTANTS MAY, 2025

2818322-05

Addl. Book No. 3

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

0 4 MAY 2025

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

(iv) Counter-Party Risk :-

Mr PK's transaction involves interaction with various parties. Failure on part of counter-party to fulfill its obligations could be ~~ne~~ detrimental.

Counter party risk could either arise on non-delivery of goods by supplier for which payments have been made or non-receipt of consideration by customer for which goods have already been delivered.

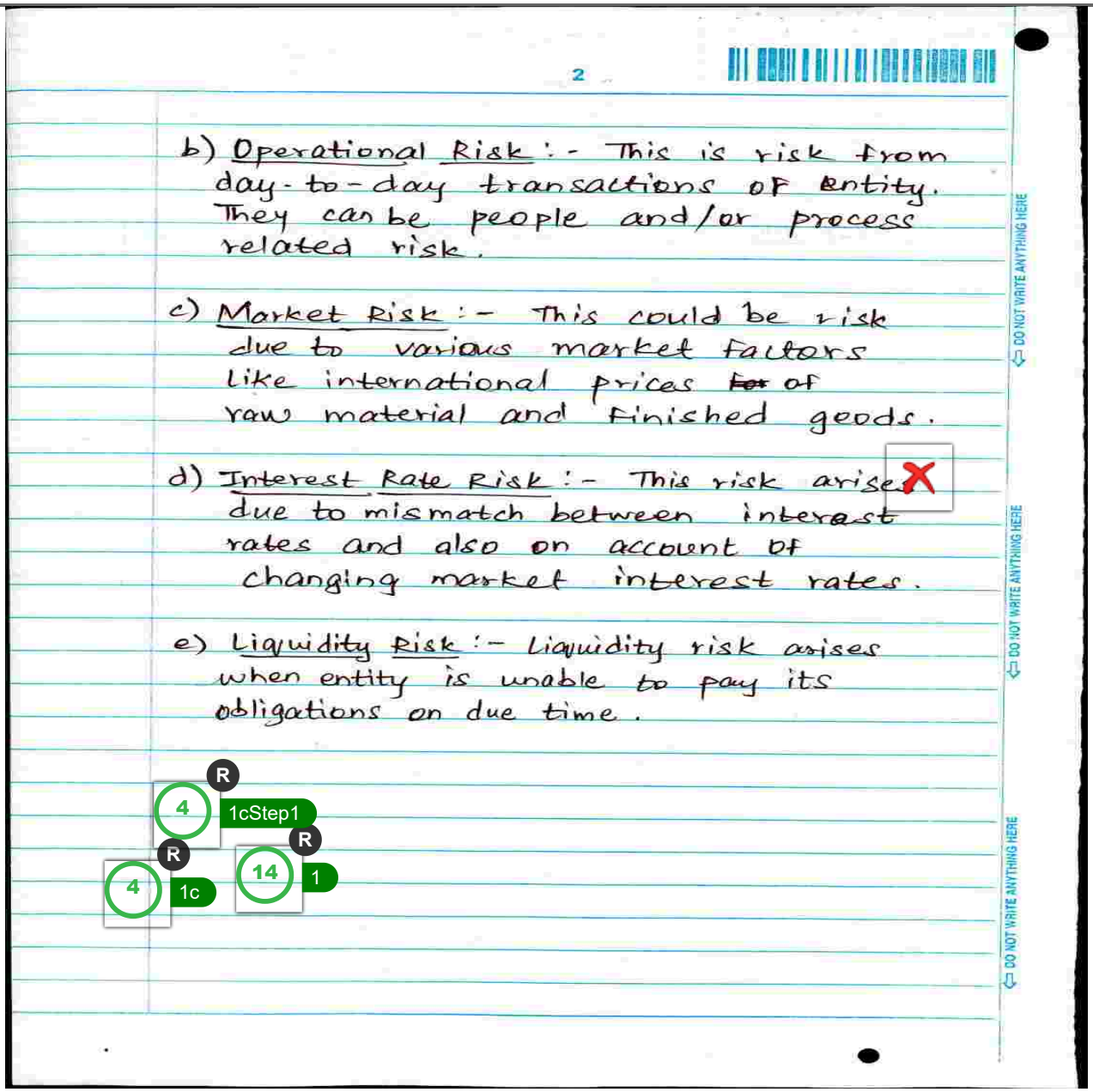
(v) Other Risks could include :-

(a) Strategic Risk - This arises when strategy fails to meet its objective.

Page 37

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



2

b) Operational Risk :- This is risk from day-to-day transactions of entity. They can be people and/or process related risk.

c) Market Risk :- This could be risk due to various market factors like international prices ~~for~~ of raw material and finished goods.

d) Interest Rate Risk :- This risk arises due to mismatch between interest rates and also on account of changing market interest rates.

e) Liquidity Risk :- Liquidity risk arises when entity is unable to pay its obligations on due time.

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

2818322-06

Answer-3(a)

Q.3.

a.

(i) Initial Investment :-

Cost of Machine	70,00,000
Working Capital	10,00,000
	80,00,000

(ii) Before Tax Cash Operating Income in Real Terms

₹ 25,00,000 p.a.

~~∴ After Tax Cash Flows =~~

Depreciation p.a. = $\frac{70,00,000}{5 \text{ years}}$

= ₹14,00,000

Income Before Tax	25,00,000
(-) Depreciation	(14,00,000)
[It is assumed that depreciation is not included in the above Computation]	
	11,00,000

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

Tax @ 35%	(385000)
After Tax Income	715,000
(+) Depreciation	1400,000
Cash Flows	21,15,000

Year	Cash Flow	PVF @10%	Present Value
0	(80,00,000)	~~0.909~~ 1	(80,00,000)
1	21,15,000	~~0.826~~ 0.909	1922535
2	21,15,000	~~0.751~~ 0.826	1746990
3	21,15,000	~~0.~~ 0.751	1588365
4	21,15,000	0.683	14 44 545
5	21,15,000	0.621	13 13 415
5	10,00,000*	0.621	621,000
			636,850

As NPV is positive, machine should be purchased.

* It is assumed that working capital is recovered at the end of year 5

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA MAY, 2025

2818322-07

Addl. Book No. 4

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

04 MAY 2025

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

Alternatively,
If it is assumed that working capital is not recovered at end of Year 5,

NPV = 636,850 - 621,000

15,850

NPV is still positive,
project should be accepted.
ie. machine should be purchased

~~Ans~~

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

Further,

Alternatively,

if it is assumed that depreciation of ₹ 14,00,000 is deducted to arrive at Before Tax Cash Income of ₹ 25,00,000 computation will be as follows:—

3aStep1

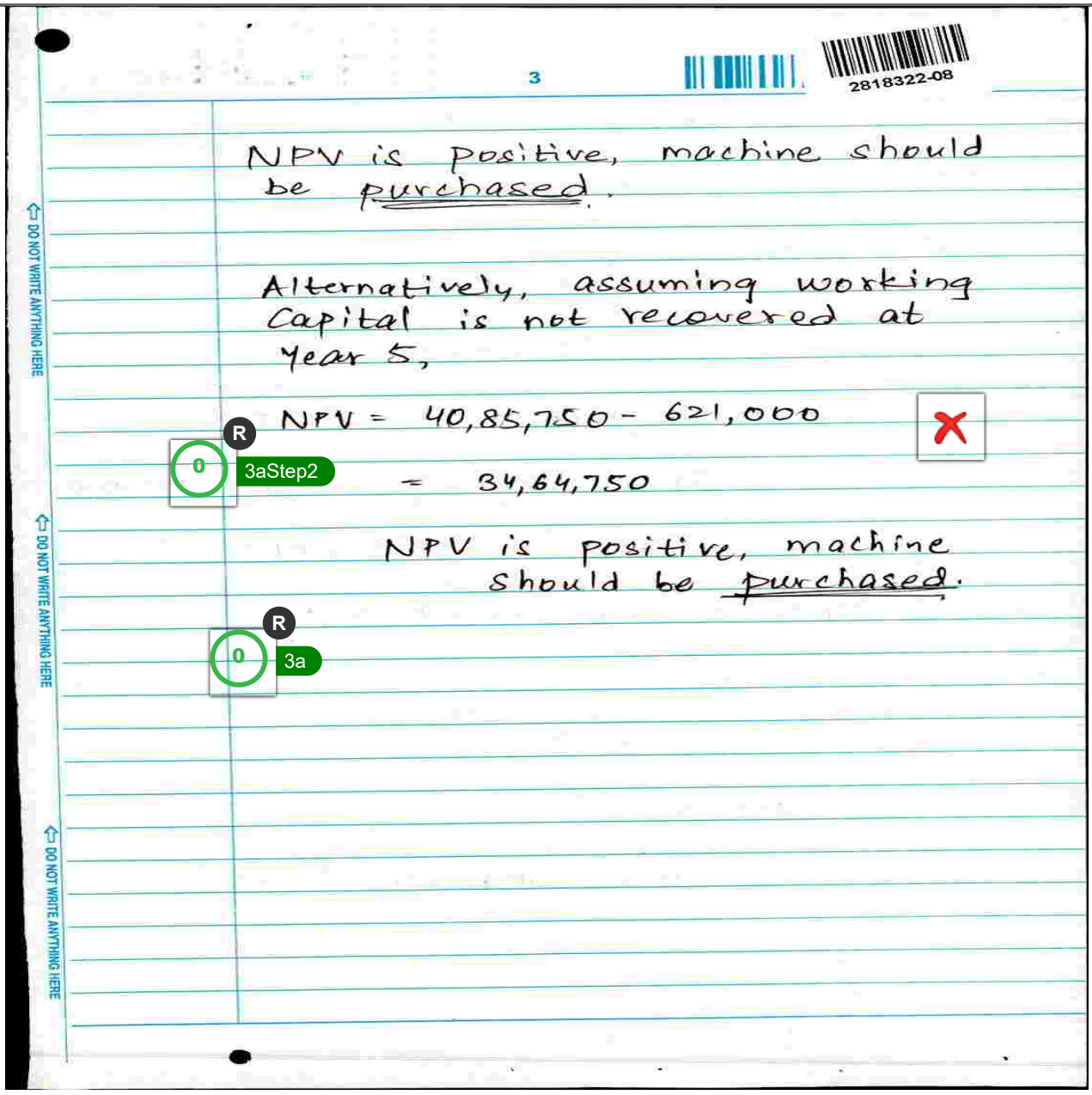
Before Tax Cash Flow	25,00,000
(-) Tax @ 35%	(875000)
	16,25,000
(+) Depreciation	1400,000
Free Cash Flows	30,25,000

Year	Cash Flow	PVF@ 10%	Present Value
0	(80,00,000)	1	(80,00,000)
1	30,25,000	0.909	27,49,725
2	3025000	0.826	24,98,650
3	3025000	0.751	22,71,775
4	3025000	0.683	20,66,075
5	3025000	0.621	18,78,525
5	10,00,000	0.621	621,000
			~~37,85,750~~
			40,85,750

DO NOT WRITE ANYTHING HERE

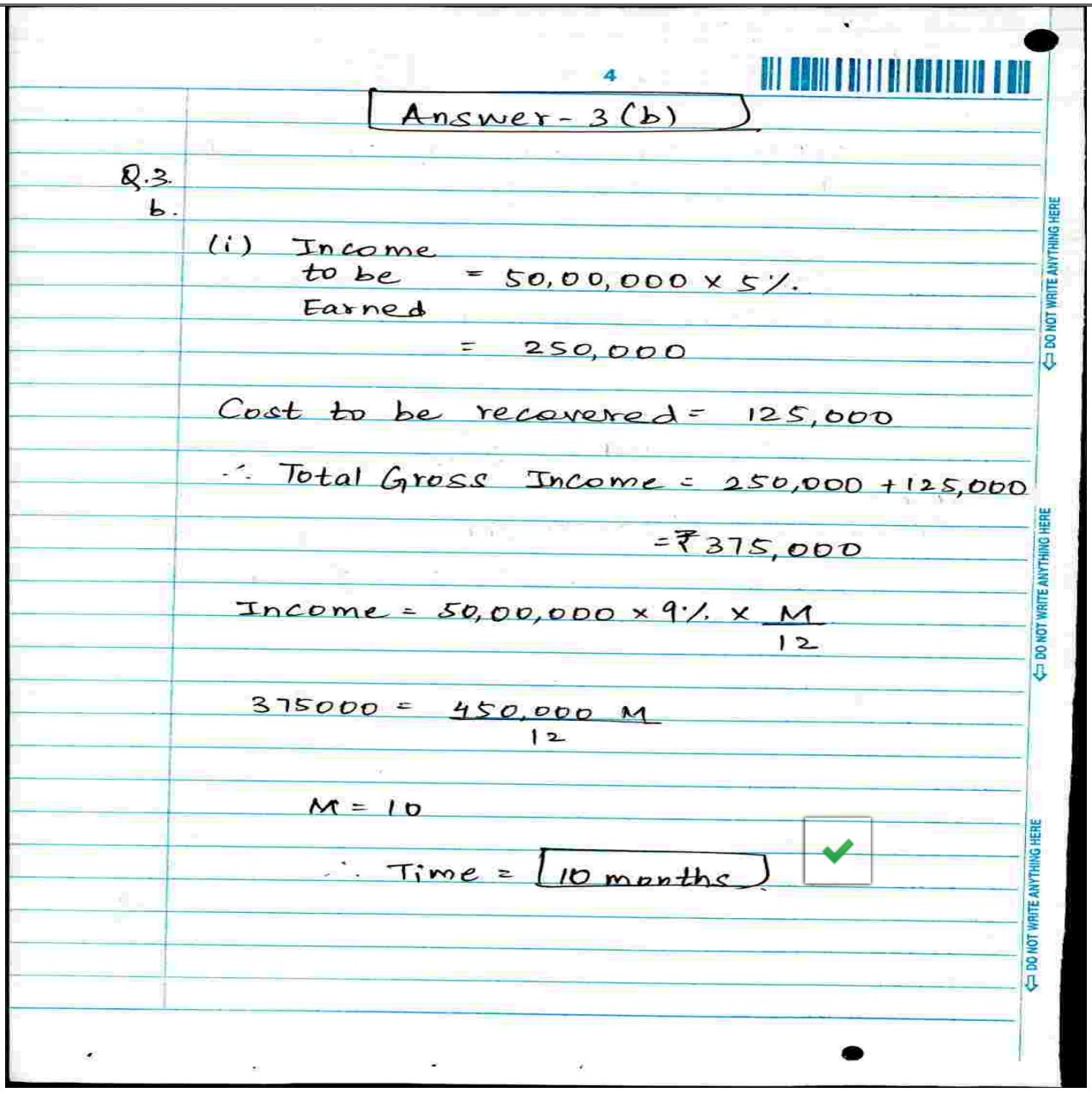
The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63



4

Answer - 3 (b)

Q.3.
b.

(i) Income to be Earned = 50,00,000 × 5%.

= 250,000

Cost to be recovered = 125,000

∴ Total Gross Income = 250,000 + 125,000

= ₹ 375,000

Income = $50,00,000 \times 9\% \times \frac{M}{12}$

$375000 = \frac{450,000\ M}{12}$

M = 10

∴ Time = [10 months]

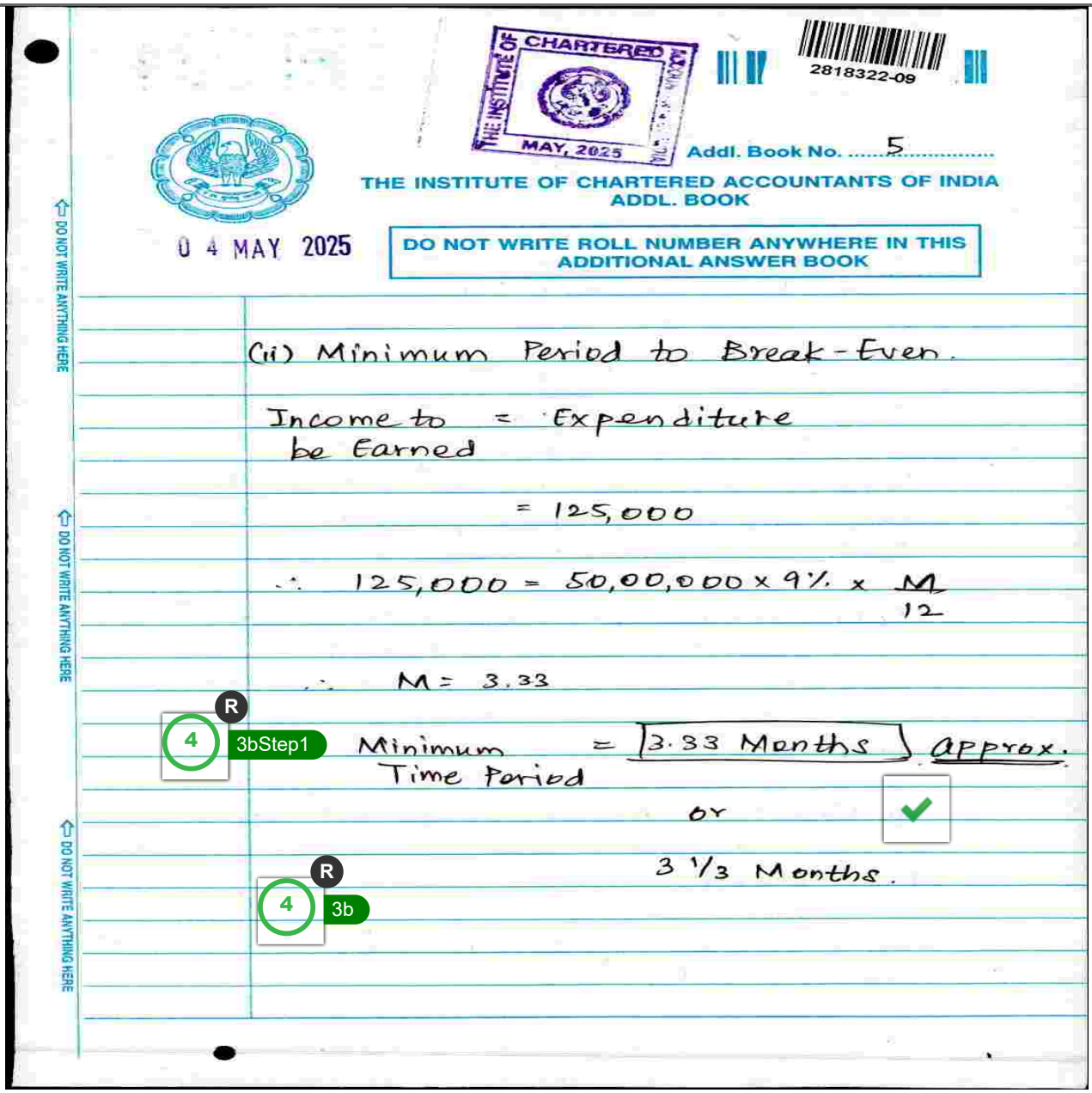
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



THE INSTITUTE OF CHARTERED ACCOUNTANTS MAY, 2025

2818322-09

Addl. Book No. 5

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

04 MAY 2025

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

(ii) Minimum Period to Break-Even.

Income to be Earned = Expenditure

= 125,000

$\therefore$ $125,000 = 50,00,000 \times 9\% \times \frac{M}{12}$

$\therefore$ $M = 3.33$

R 4 3bStep1 Minimum Time Period = 3.33 Months approx.

or

3 1/3 Months.

R 4 3b

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63

Answer-3(C)

Q.3.

C. Types of test to be performed for weak form of efficiency:-

(i) Serial Correlation Test

Under this method, price changes under two subsequent periods are taken into consideration. Say for example, price changes of Week 1 and Week 2 of a month.

Correlation between these subsequent periods shall be computed. Correlation generally tends to be very low, indicating weak form of market efficiency.

Multiple tests have been conducted on various time periods, showcasing weak form of efficiency.

However, such tests shall not be computed for longer periods as

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63

2818322-10

general price level always tends to be upwards

(ii) Runs Test :-

Price changes in market are treated as a run. One run shall include all consecutive price changes is one direction. On change in direction of change, another run shall begin

Example :-

++/---/++++/-/+++/----

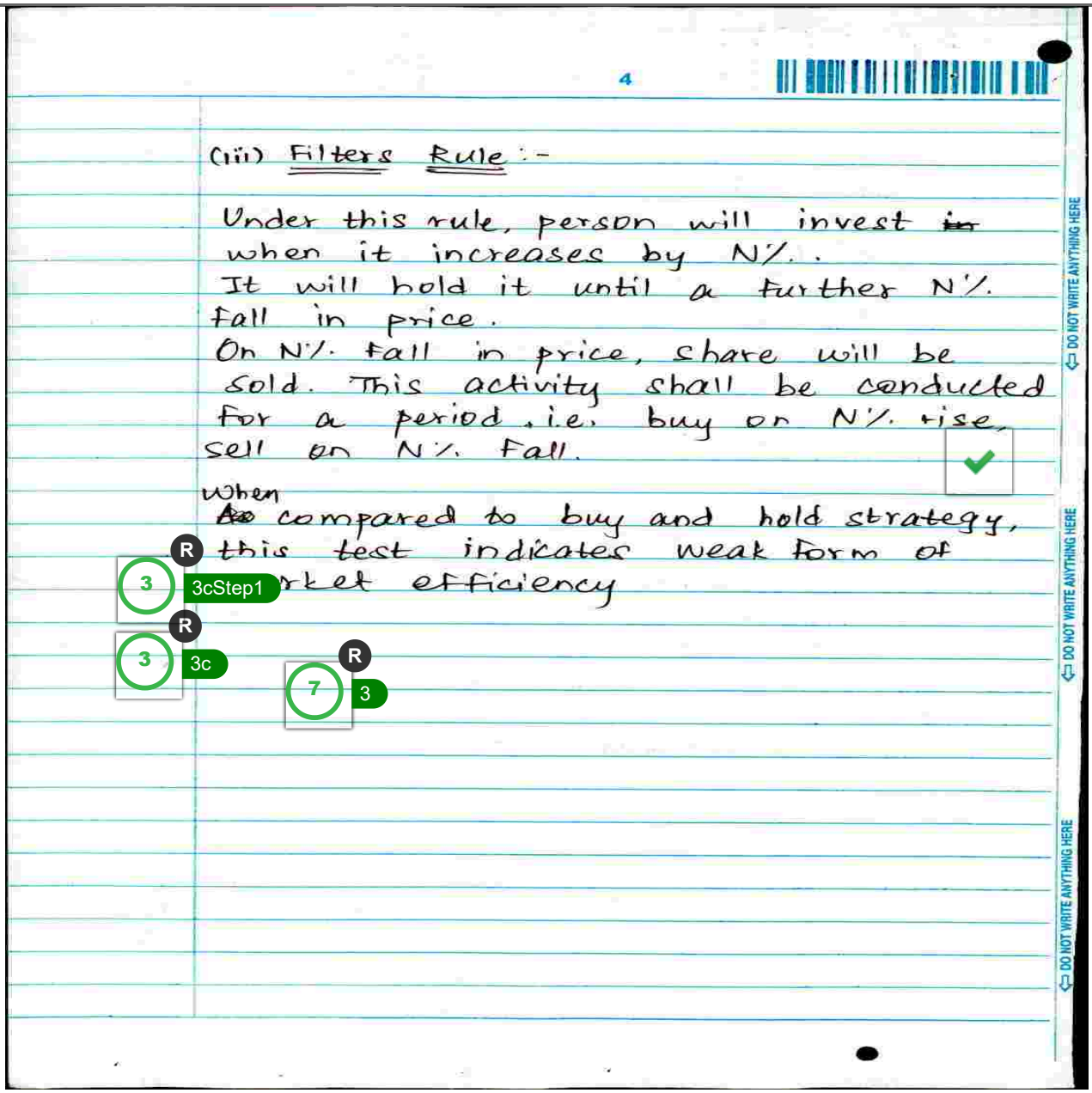
1 2 3 4 5 6

These runs when computed on normal distribution basis shall indicate weak form of market efficiency.

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF818322**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	63



4

(iii) Filters Rule :-

Under this rule, person will invest ~~in~~ when it increases by N%.
It will hold it until a further N% fall in price.
On N% fall in price, share will be sold. This activity shall be conducted for a period, i.e. buy on N% rise, sell on N% fall.

When compared to buy and hold strategy, this test indicates weak form of market efficiency

R 3 3cStep1
R 3 3c
R 7 3

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF818322 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 63

Result Overview

Awarded Marks: 63 **Max Marks:**70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 14/14)

Question No	Awarded Marks	Maximum Marks	Status
1	14	14	M
1a	6	6	M
1b	4	4	M
1c	4	4	M

Q2_Q6 (Score: 49/56)

Question No	Awarded Marks	Maximum Marks	Status
2	14	14	M
2a	6	6	M
2b	4	4	M
2c	4	4	M
3	7	14	M
3a	0	6	M
3b	4	4	M
3c	3	4	M
4	0	14	O
4a	0	6	O
4b	0	4	O
4c	0	4	O

5	14	14	M
5a	7	7	M
5b	7	7	M
6	14	14	M
6a	7	7	M
6b	7	7	M